



Project Vols

DRAFT FOR DISCUSSION PURPOSES ONLY

Due diligence report

—

November 28, 2019

This document is submitted as a DRAFT for your review. In addition, the document is presently under review within KPMG LLP ("KPMG"). During this internal review process, KPMG will revisit the assumptions upon which our conclusions are based and submit the document for comment to at least one qualified reader not involved in its creation. This process is intended to ensure that the final product fully meets your requirements and our own standards. KPMG authorizes NO use of our reference to the figures, conclusions or information contained in the document until you have ascertained that the facts we present in the document are correct and we have completed our internal review process.



Important notice

This report is provided to Park Lawn Corporation ("Client") on a confidential basis pursuant to our engagement letter dated September 24, 2019 ("Engagement Agreement") and is subject in all respects to the terms and conditions of the Engagement Agreement, including restrictions on use of this report by third parties.

If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client's benefit and its own use. KPMG LLP ("KPMG") does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient's sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG. KPMG neither warrants nor represents that the information contained in this report is accurate, complete, sufficient or appropriate for use by any person or entity other than Client or for any purpose other than set out in the Engagement Agreement.

The quality of earnings and working capital analysis is for indicative purposes only. We have sought to illustrate the effect on EBITDA and working capital of adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional'. However the selection and quantification of such adjustments is necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'underlying' earnings, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring' or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings trends for future periods may be affected by such items, which may be different from the historical items.

The advice or other information in this document was prepared for the sole benefit of KPMG's Client and may not be relied upon by any other person or organization. KPMG accepts no responsibility or liability in respect of this document to any person or organization other than KPMG's Client.

Any tax advice in this document is limited to the conclusions specifically set forth herein and is based on the completeness and accuracy of the stated facts, assumptions and representations. If any of the facts, assumptions or representations herein is not entirely complete or accurate, it is imperative that we be informed immediately, as the inaccuracy or incompleteness could have a material effect on our conclusions. In rendering our advice, we are relying upon the relevant provisions of the Internal Revenue Code of 1986, as amended, state and local tax statutes, the regulations thereunder, and the judicial and administrative interpretations thereof. These authorities are subject to change, retroactively and/or prospectively and any such changes could affect the validity of our advice. We will not update our advice for subsequent changes or modifications to the law and regulations, or to the judicial and administrative interpretations thereof.

In various sections of this communication, for ease of understanding and as a stylistic matter, we might use language (e.g., "will" or "should") that could suggest that we have reached a conclusion on an issue at a particular standard for U.S. federal income tax purposes. Such language should not be so construed.



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Private and confidential

Mr. Joseph Leeder
Chief Financial Officer
Park Lawn Corporation
2323 Yonge Street Suite 400
Toronto, ON
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November 28, 2019

Dear Mr. Leeder,

We have substantially completed our procedures to assist you in performing due diligence in connection with your prospective investment ("the Transaction") in Family Legacy, LLC (collectively, "Family Legacy" or "Target"), in accordance with the terms of our engagement letter dated September 24, 2019, including its Terms and Conditions for Advisory and Tax Services.

Objective

The objective of our engagement was to assist you with your assessment of the risks and opportunities of entering into this transaction. Our work in this report was based on information provided by you and obtained in an electronic data room and discussions with Target's Management team (Cindy Foree, COO, Gregg Accas, CFO and Rodney Edwards, Chief Business Development Officer). The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data of interest to you.

Basis of Information

The engagement letter describes the procedures we were to perform and are attached herein as Appendix 1. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning Target.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board ("AASB") in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you and the Company from September 24, 2019 to November 28, 2019, inclusive. Since many aspects of the transaction with Target have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to November 28, 2019. We have not reviewed this Report with Target management for the purpose of confirming the factual accuracy of the information we presented.

We presented our interim findings to you in various phone conversations throughout the course of our work. Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of Target and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours truly,

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Glossary

\$'000	Thousands of United States dollars	Management	Collectively, Greg Accas and Rodney Edwards
ALFH	Alexander Funeral Homes	MCM	Music City Mortuary
AP	Accounts payable	n.a.	Not available
AR	Account receivable	NCC	Nashville Cremation Center
Buyer	PLC Signature, Ltd. or its designated acquiring entity	NWC	Net working capital
CFO	Chief Financial Officer	n.q.	Not quantifiable
CFS	Cemetery & Funeral Solutions LLC	Operating Agreement	The Amended Operating Agreement of Family Legacy
COGS	Cost of goods sold	PLC Signature	Park Lawn Corporation Ltd.
COO	Chief Operating officer	P/R	Payroll
Cole and Garrett	Cole and Garrett, LLC	Predecessor Partnerships	Collectively, CFS and West Harpeth
Client	Park Lawn Corporation (also "Park Lawn", "Buyer")		Proposed acquisition of 100% of the stock or membership interests, as applicable, in Target in exchange for cash of \$32.5M and covenant not to compete of \$1.0M
COS	Cost of sales (also "Cost of goods sold")	Proposed Transaction	Quality of Earnings
Crowe Trusts	Collectively, Eugene S. Crowe Undated Marital Deduction Trust and Eugene S. Crowe Undated Residual Trust		Qualified Subchapter S Subsidiary
			Re-class
DRE	Disregarded Entity	QofE	Revenue Ruling
EBITDA	Earnings before interest, taxes, depreciation and amortization	QSub	Collectively, Family Legacy and Joelton
		R/C	Simple Cremation & Funeral, LLC
Family Legacy	Family Legacy, LLC	Rev. Rul.	Single Member LLC
FMV	Fair market value	S Corporations	Sumner MG, LLC
Franklin	Franklin Funeral Home, LLC	SCF	Family Legacy, LLC
FYXX	Fiscal year ended December 31, 20XX	SMLLC	KraftCPAs PLLC
GAAP	Generally Accepted Accounting Principles	Sumner	A new trust incorporated pursuant to the laws of the State of Tennessee
Gallatin	Gallatin Memory Gardens, LLC	Target	Trailing twelve months
Hendersonville	Hendersonville Memory Gardens & Funeral Home, LLC	Tax Advisor	Trailing three months
HH	Harpeth Hills	Trust	United States
IRC or Section	Internal Revenue Code		US federal income tax
IRS or Service	Internal Revenue Service	TTM	West Harpeth Funeral Home, L.L.C.
Joelton	Joelton Hills Memory Gardens, Inc.	T3M	William Gregory
LLC	Limited Liability Company	US	Year-To-Date
LLP	Limited Liability Partnership	USFIT	
LOI	Letter of Intent	West Harpeth	
M	Million	William	
		YTD	

Our report makes reference to "KPMG analysis". This indicates only that KPMG has undertaken certain analytical procedures on the underlying data to arrive at the information presented. We do not accept responsibility for the underlying data. Figures throughout this report are presented in USD, unless otherwise noted.

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Basis of preparation and limitations

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Basis of preparation	Sources of information	Limitations	Key outstanding information
This report has been produced to provide an analysis to Park Lawn Corporation ("PLC"), related to the proposed investment in Family Legacy, LLC. Per the agreed upon scope of work, our analysis covers fiscal years ended December 31, 2017, 2018 and the September 30, 2019 trailing twelve month period. The Company provided monthly internal financial statements as well as related consolidation schedules which have been combined and utilized in this report. The financial statements for the fiscal years ended December 31, 2017, 2018 and the September 30, 2019 trailing twelve month period are unaudited or reviewed. The Company recognizes revenue upon sale rather than delivery, which is not consistent with GAAP. Management provided information quantify the impact to the historical period, which has been reflected in this report.	The findings presented in this report are based on the following key sources of information: - Electronic data room access: key information from the data room include internal trial balances, audited financial statements, and Management prepared schedules; and - Discussions held with the Cindy Foree (COO) Gregg Accas (CFO) and Rodney Edwards (Chief Business Development Officer). The contents of our report have not been reviewed by Management and we have not confirmed in writing the factual accuracy of this report.	The Company has not provided any financial information on two entities (Franklin and Harpeth Hills) outside of the transaction perimeter. The Company is not audited and thus does not follow any consolidation procedures and has other GAAP deviations, including no elimination of intercompany balances and deferring revenue not delivered. During the historical period, the Company's receivables and payables are blended with intercompany balances, which do not eliminate. Management reconciled and eliminated intercompany balances starting Jul-19. The Company has not provided the entity level trust details as at September 30, 2019, as a result the analysis was completed as at August 31, 2019.	The following information has not been provided as at the date of this report: - Cash flow analysis for the Company in FY17, FY18 and for TTM Sep-19; - Schedule noting detailed breakdown of corporate payroll and overhead expenses allocated from the Corporate entity; - Deferred commissions in relation to recording deferred revenue; and We do not expect this outstanding item to have a material impact to our key findings.

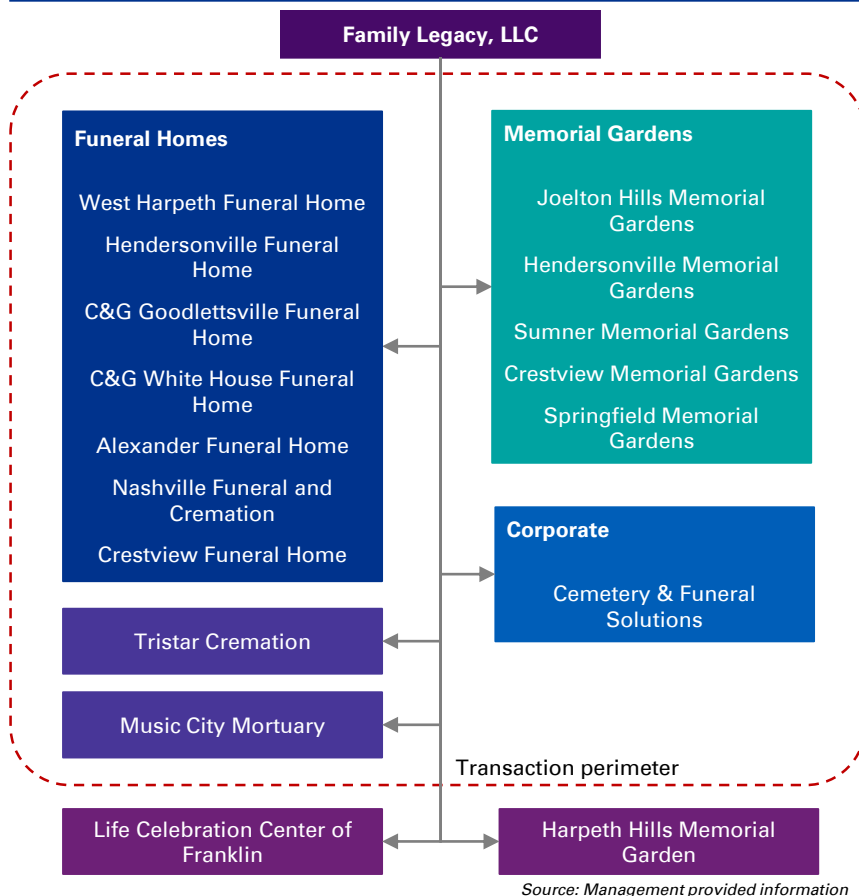


Overview

Overview Business overview

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Corporate Structure



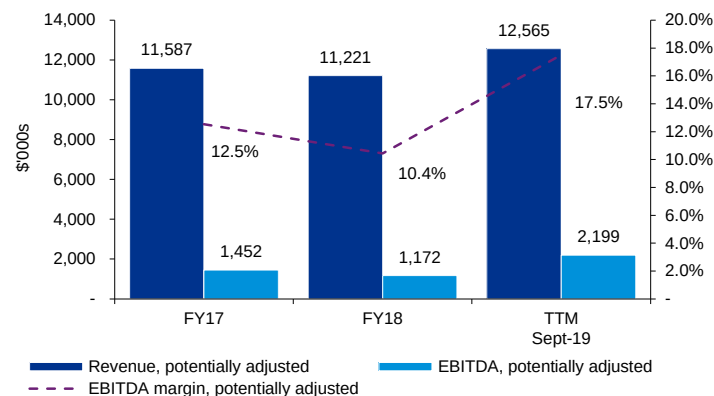
Source: Management provided information

Business overview

- Family Legacy, LLC (the "Company") was founded in 1965. The current shareholders are William Gregory (91%), Jackson Gregory (3%), Jacob Gregory (3%), Jennifer Fuller (3%), and Tammy Gregory (<1%).
- The Company is based in Middle Tennessee and operates ten funeral homes, five cemeteries, one mortuary and one cemetery merchandising business.
- The Company also manages one funeral home and event space, which are excluded from the transaction perimeter.
- In April 2019 the Company acquired Music City Mortuary and two economy funeral homes, Nashville Cremation Center and Tristar Cremation.
- During TTM Sep-19, the Company allocated payroll of \$1.8 million (based on where employees spent their efforts) and overhead costs of \$0.4 million (based on revenue) from its Corporate entity to other entities. Management removed the allocated expense from EBITDA noting they will be non-recurring post-transaction. However, this was reversed via QofE adjustment #3 as they represent recurring expenses.

Financial performance

- For TTM Sept-19, the Company reported sales of \$14.7 million and EBITDA of \$0.7 million. The Company's potentially adjusted sales are \$12.6 million with EBITDA of \$2.2 million, with an EBITDA margin of 17.5%.
- The Company has been able to grow its potentially adjusted EBITDA % from 10.4% in FY18 to 17.5% in TTM Sept-19, primarily due to consumer shifts to the higher margin cremations sales along with improved cost management.



Summary financial statements

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The adjacent internal financial statements represent the operating result of the Company. The fiscal year-end is December 31st.

The Company's financial statements are prepared on an accrual basis and are neither audited nor reviewed.

The Company is an S-Corp and does not pay income taxes.

See Quality of Earnings and Net Working Capital sections for adjustment considerations.

Summary combined balance sheet

\$'000	As At		
	31-Dec-17	31-Dec-18	30-Sep-19
Assets			
Cash	500	2,275	1,824
Account receivable	3,845	2,932	3,056
Pre-need inventory	666	968	947
Inventory	360	294	322
Intercompany	3,779	1,788	-
Due from Harpeth	36	70	42
Employee advance	3	87	26
Note receivable	485	460	438
Prepaid expenses	-	-	10
Current assets	9,674	8,875	6,664
Non-current assets	10,737	8,328	11,635
Total Assets	20,411	17,203	18,299
Liabilities & Shareholder's Equity			
Account payable	(563)	(627)	(322)
Accrued expenses	(51)	(36)	0
Accrual payroll	-	(224)	(217)
A/R-OFF	(387)	(366)	(450)
Inv	-	-	-
Intercompany	(2,497)	(1,644)	(30)
Due to Harpeth	(1)	(5)	-
Account insurance payable	(13)	(34)	(20)
Note payable	-	(37)	-
T/P	(727)	(764)	(759)
Current Liabilities	(4,238)	(3,735)	(1,797)
Long Term Liabilities	(10,258)	(7,944)	(11,069)
Total Liabilities	(14,496)	(11,679)	(12,866)
Net Assets	5,915	5,524	5,434

Source: Management provided information

Basis of presentation

- The consolidated financial statements for FY17, FY18 and TTM Sept-19 of Family Legacy, LLC are not audited or reviewed.
- The Company's reporting currency is USD. All figures are denominated in USD, unless otherwise noted.

Summary combined income statement

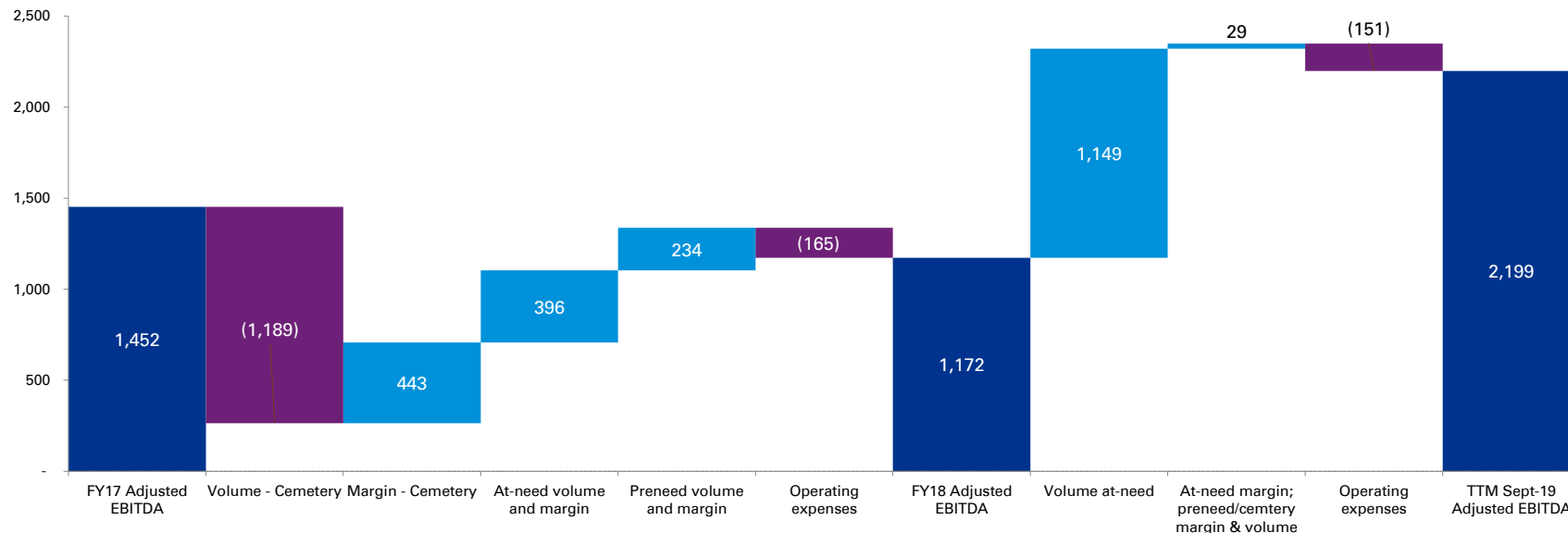
\$'000s	TTM		
	FY17	FY18	Sep-19
At-need sales	6,215	6,902	8,402
Pre-need sales	882	835	574
Cemetery sales	3,756	2,905	3,073
Other income - cemetery	439	438	433
Sales - CFS	1,968	2,297	2,211
Sales	13,260	13,377	14,694
At-need cost of sales	(1,325)	(1,616)	(1,891)
Pre-need sales expense	(896)	(616)	(547)
Cemetery cost of sales	(1,051)	(1,017)	(1,057)
Cost of sales - CFS	(931)	(1,046)	(1,010)
Cost of sales	(4,203)	(4,294)	(4,505)
Gross profit	9,058	9,083	10,189
Payroll	(2,386)	(2,913)	(3,039)
Sales expenses	(848)	(651)	(657)
Marketing & public relations	(330)	(252)	(286)
Operating expenses	(1,067)	(1,015)	(1,047)
General & administrative	(1,596)	(1,683)	(1,556)
Reception centers	(28)	(15)	(35)
Selling, general and administration	(6,255)	(6,529)	(6,620)
Other income & expense	(1,690)	(1,567)	(3,718)
Net income	1,113	987	(149)
EBITDA calculation			
Interest	370	291	369
Taxes	5	3	-
Depreciation & amortization	382	564	497
EBITDA	1,870	1,845	718

Source: Management provided information

EBITDA bridge, potentially adjusted

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The chart below bridges potentially adjusted EBITDA from FY17 to TTM Sept-19.



Source: Management provided information; KPMG analysis

■ Significant FY17 to FY18 EBITDA drivers include the following:

- **Decrease in cemetery volume and margin (decrease \$0.7 million):** In FY18, the number of interments decreased by 13% from 638 to 554, which was offset by improved gross margin on cemetery sales. This resulted in a net decrease of approximately \$0.7 million.
- **Increase in at-need volume and margin (increase \$0.4 million):** The increase in at-need volume and margin primarily relates to the full year impact of the ALFH entity (Alexander Funeral Homes), which was acquired in September 2017. In addition, West Harpeth built a new reception center in FY17 resulting in an increase in cremation and funeral sales.
- **Increase in pre-need gross margin (increase of \$0.2 million):** Prior to 2018 the Company used traveling sales staff in an effort to increase sales. The Company did not see the desired increase in sales and ended this program in FY18. This resulted in a decrease in commissions paid and sales promotions.
- **Increase in operating expenses (decrease of \$0.2 million):** Prior to FY18, the Company sub-contracted its transfer team activities. During FY18, the Company hired staff to perform these activities. This resulted in an increase in payroll expenses. Additionally, the Company hired an additional Supervisor at CFS.

■ Significant FY18 to TTM Sept-19 EBITDA drivers include the following:

- **Increase in at-need volume (increase \$1.1 million):** In TTM Sept-19, the Company acquired three locations in April 2019 [Music City Mortuary, Nashville Cremation Center and Tristar Cremation]. The acquisitions resulted in at-need sales growth in TTM Sept-19 of 21.7%.



Executive summary

Key findings (1) – Quality of earnings

Issue	Summary observations	Key analysis																																																											
Quality of earnings TTM Sept-19 reported EBITDA of \$0.7 million increased to potentially adjusted EBITDA of \$2.2 million following adjustments identified during diligence.	The table below summarizes reported, and potentially adjusted EBITDA for FY17, FY18 and TTM Sept-19: <table><tr><th colspan="4">Quality of earnings</th></tr><tr><th></th><th></th><th></th><th>TTM</th></tr><tr><th>\$'000s</th><th>FY17</th><th>FY18</th><th>Sept-19</th></tr><tr><td>Sales, reported</td><td>13,260</td><td>13,377</td><td>14,694</td></tr><tr><td>Potential adjustments</td><td>(1,674)</td><td>(2,156)</td><td>(2,129)</td></tr><tr><td>Sales, potentially adjusted</td><td>11,587</td><td>11,221</td><td>12,565</td></tr><tr><td>Net income, reported</td><td>1,113</td><td>987</td><td>(149)</td></tr><tr><td>EBITDA, reported</td><td>1,870</td><td>1,845</td><td>718</td></tr><tr><td>EBITDA margin, reported</td><td>14.1%</td><td>13.8%</td><td>4.9%</td></tr><tr><td>Management adjustments</td><td>901</td><td>691</td><td>2,850</td></tr><tr><td>EBITDA, management adjusted</td><td>2,771</td><td>2,536</td><td>3,568</td></tr><tr><td>EBITDA margin, management adjusted</td><td>20.9%</td><td>19.0%</td><td>24.3%</td></tr><tr><td>Potential adjustments</td><td>(1,319)</td><td>(1,364)</td><td>(1,369)</td></tr><tr><td>EBITDA, potentially adjusted</td><td>1,452</td><td>1,172</td><td>2,199</td></tr><tr><td>EBITDA margin, potentially adjusted</td><td>12.5%</td><td>10.4%</td><td>17.5%</td></tr></table> Source: Management provided information; KPMG analysis ■ Significant Management and potential adjustments and their TTM Sept-19 EBITDA impact, are included below: – Corporate payroll and office support allocation (increase \$2.2 million): The Company allocates payroll (based on where employees spend their efforts) and overhead costs (based on revenue) from its Corporate entity to other entities. Management represents these costs will not be recurring post-transaction and removed them from EBITDA. – Corporate overhead (decrease \$0.8 million): This adjustment reverses Management's proposed adjustment noted above, as payroll and overhead expenses would be recurring post-transaction. Furthermore, the adjustment (i) excludes shareholder expenses as these are non-recurring and (ii) straight-lines the expense as there are true-up entries made at Dec-17, Dec-18 and Sep-19. – Deferred revenue adjustment (decrease \$0.4 million): This adjustment records Management's period-end deferred revenue adjustment. This includes recognition of revenue that was delivered in the current fiscal year. Pages 19-24	Quality of earnings							TTM	\$'000s	FY17	FY18	Sept-19	Sales, reported	13,260	13,377	14,694	Potential adjustments	(1,674)	(2,156)	(2,129)	Sales, potentially adjusted	11,587	11,221	12,565	Net income, reported	1,113	987	(149)	EBITDA, reported	1,870	1,845	718	EBITDA margin, reported	14.1%	13.8%	4.9%	Management adjustments	901	691	2,850	EBITDA, management adjusted	2,771	2,536	3,568	EBITDA margin, management adjusted	20.9%	19.0%	24.3%	Potential adjustments	(1,319)	(1,364)	(1,369)	EBITDA, potentially adjusted	1,452	1,172	2,199	EBITDA margin, potentially adjusted	12.5%	10.4%	17.5%
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Key findings (2) – Quality of earnings pro forma

Issue	Summary observations	Key analysis																				
Quality of earnings – pro forma Pro forma adjusted EBITDA in TTM Sept-19 was \$2.4 million.	- The table below summarizes pro forma adjusted EBITDA for FY17, FY18 and TTM Sept-19:<table><tr><th colspan="2">Quality of earnings</th></tr><tr><th></th><th>TTM</th></tr><tr><th>\$'000s</th><th>Sept-19</th></tr><tr><td>Sales, potentially adjusted</td><td>12,565</td></tr><tr><td>Pro forma adjustments</td><td>1,382</td></tr><tr><td>Sales, pro forma adjusted</td><td>13,947</td></tr><tr><td>EBITDA, potentially adjusted</td><td>2,199</td></tr><tr><td>Pro forma adjustments</td><td>185</td></tr><tr><td>EBITDA, pro forma adjusted</td><td>2,384</td></tr><tr><td>EBITDA margin, pro forma adjusted</td><td>17.1%</td></tr></table> Source: Management provided information; KPMG analysis - Significant pro forma adjustment and their TTM Sept-19 EBITDA impact, are included below: Acquired locations (increase \$0.2 million): The Company acquired Music City Mortuary, Nashville Cremation Center and Tristar Cremation during April 2019. This adjustment (i) straight-lines any corporate overhead costs from opening date of Apr-19 to Sep-19, as Management recognized the expense only in Sep-19, (ii) annualizes the average sales and EBITDA from Jul-19 to Sep-19 as that is reflective of run-rate performance, (iii) reverses any reported results, and reflects (i) across the historical period.	Quality of earnings			TTM	\$'000s	Sept-19	Sales, potentially adjusted	12,565	Pro forma adjustments	1,382	Sales, pro forma adjusted	13,947	EBITDA, potentially adjusted	2,199	Pro forma adjustments	185	EBITDA, pro forma adjusted	2,384	EBITDA margin, pro forma adjusted	17.1%	Pages 19-24
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Key findings (3) – Net working capital

Issue	Summary observations	Key analysis																																																																																		
Adjusted net working capital The Company's receivables and payables are blended with intercompany balances, which do not eliminate. Starting Jul-19, Management reconciled and eliminated intercompany balances to \$nil. As a result, Client should consider the T3M Sep-19 pro forma adjusted average for the NWC peg. The pro forma adjusted average NWC for T3M Sept-19 is approximately \$0.1 million.	The following summarizes the Company's net working capital ("NWC") trends including potential adjustments: <table><tr><th colspan="6">Net working capital</th></tr><tr><th rowspan="3">\$'000</th><th colspan="2">As at</th><th colspan="3">Average</th></tr><tr><th>31-Dec-18</th><th>30-Sep-19</th><th>FY18</th><th>TTM Sep-19</th><th>T3M Sept-19</th></tr><tr><th></th><th></th><th></th><th></th><th></th></tr><tr><td>Net working capital, reported</td><td>1,474</td><td>1,658</td><td>1,426</td><td>1,558</td><td>1,774</td></tr><tr><td>Management adjustments</td><td>(1,469)</td><td>(1,330)</td><td>(1,439)</td><td>(1,480)</td><td>(1,662)</td></tr><tr><td>Net working capital, Management adjusted</td><td>5</td><td>328</td><td>(14)</td><td>78</td><td>112</td></tr><tr><td>As a % of TTM sales, Management adjusted</td><td>0.0%</td><td>2.2%</td><td>0.9%</td><td>(5.2%)</td><td>(6.7%)</td></tr><tr><td>Potential adjustments</td><td>(99)</td><td>(74)</td><td>(278)</td><td>(294)</td><td>(65)</td></tr><tr><td>Net working capital, potentially adjusted</td><td>(94)</td><td>254</td><td>(292)</td><td>(216)</td><td>47</td></tr><tr><td>As a % of TTM sales, potentially adjusted</td><td>(0.8%)</td><td>2.0%</td><td>(2.6%)</td><td>(1.7%)</td><td>0.4%</td></tr><tr><td>Pro forma adjustments</td><td>n.a</td><td>-</td><td>n.a</td><td>0</td><td>-</td></tr><tr><td>Net working capital, pro forma adjusted</td><td>n.a</td><td>254</td><td>n.a</td><td>(216)</td><td>47</td></tr><tr><td>As a % of TTM sales, pro forma adjusted</td><td>n.a</td><td>1.8%</td><td>n.a</td><td>(1.5%)</td><td>0.3%</td></tr></table> Source: Management provided information; KPMG analysis ■ Significant Management adjustments to average NWC for TTM Sept-19 include the following: – Non-NWC balances (decrease \$1.3 million): Management identified various trial balances accounts, which should be removed from NWC due to the nature of the account's activity, including; long term accounts, as well as intercompany activity. – 90+ day receivables (decrease \$0.2 million): This adjustment relates to outstanding receivables greater than 90 days, which are unlikely to be collected upon. As a result, Management proposed to remove these receivables from NWC. ■ Significant potential adjustments to average NWC for TTM Sept-19 include the following: – Intercompany transactions (decrease \$0.2 million): Management represents that intercompany balances were blended with accounts receivable, accounts payable and accrued liabilities in the historical period. In order to represent the appropriate NWC balance, all intercompany balances were added back to NWC. This excludes any note receivables and payables as Management represents they are fully non-operational. – Vacation accrual (decrease \$35,000): This adjustment recognizes the accrued vacation expense outstanding as at Sep-19. Management began accruing for these expenses in Nov-19. – Inventory adjustments (decrease \$18,000): This adjustments recognizes the NWC impact of management's QofE adjustment #2, where the Company wrote down inventory after performing an inventory count in Dec-18 after a two year period. The adjustment assumes Management would have recognized the write-down over a twelve month period. ■ Significant pro forma adjustments to average NWC for TTM Sept-19 include the following: – Acquired location (decrease \$1,000): This adjustment relates to QofE pro forma adjustment #8. In Apr-19, the Company acquired Music City Mortuary, Nashville Cremation Center and Tristar Cremation. This adjustment recognizes the NWC impact run rate gross margin for each location.	Net working capital						\$'000	As at		Average			31-Dec-18	30-Sep-19	FY18	TTM Sep-19	T3M Sept-19						Net working capital, reported	1,474	1,658	1,426	1,558	1,774	Management adjustments	(1,469)	(1,330)	(1,439)	(1,480)	(1,662)	Net working capital, Management adjusted	5	328	(14)	78	112	As a % of TTM sales, Management adjusted	0.0%	2.2%	0.9%	(5.2%)	(6.7%)	Potential adjustments	(99)	(74)	(278)	(294)	(65)	Net working capital, potentially adjusted	(94)	254	(292)	(216)	47	As a % of TTM sales, potentially adjusted	(0.8%)	2.0%	(2.6%)	(1.7%)	0.4%	Pro forma adjustments	n.a	-	n.a	0	-	Net working capital, pro forma adjusted	n.a	254	n.a	(216)	47	As a % of TTM sales, pro forma adjusted	n.a	1.8%	n.a	(1.5%)	0.3%	Pages 26-29
Net working capital																																																																																				
\$'000	As at		Average																																																																																	
	31-Dec-18	30-Sep-19	FY18	TTM Sep-19	T3M Sept-19																																																																															
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As a % of TTM sales, pro forma adjusted	n.a	1.8%	n.a	(1.5%)	0.3%																																																																															

Key findings (4) – Net debt

Issue	Summary observations	Key analysis																													
Net debt As at September 30, 2019, the Company's reported net debt is \$8.8 million and \$8.9 million following potential adjustments.	The following summarizes the Company's net debt including potential adjustments as at Sept. 30, 2019: <table><tr><th colspan="2">Net debt</th></tr><tr><th>\$'000</th><th>30-Sep-19</th></tr><tr><td colspan="2">Net debt, reported</td></tr><tr><td>Cash</td><td>1,824</td></tr><tr><td>Note receivable</td><td>438</td></tr><tr><td>Note payable</td><td>(11,069)</td></tr><tr><td>Net debt, reported</td><td>(8,806)</td></tr><tr><td colspan="2">Potential adjustments</td></tr><tr><td>1 Reserve for future purchases</td><td>(92)</td></tr><tr><td>2 Employee advance</td><td>26</td></tr><tr><td>3 Protection fees payable</td><td>(19)</td></tr><tr><td>4 Payroll payable to Harpeth</td><td>(5)</td></tr><tr><td>Potential adjustments</td><td>(90)</td></tr><tr><td>Net debt, potentially adjusted</td><td>(8,896)</td></tr></table> Source: Management provided information; KPMG analysis ■ Potential adjustments to the net debt position include: 1. Reserve for future purchases (increase \$0.1 million): Relates to at-need contracts, where a sale is finalized but no payment has been made to the vendor for related inventory. As Client will incur these costs post-transaction to service these contracts and the receivables may have been collected, this has been treated as a net debt item. 2. Employee advance (decrease \$26,000): Relates to employee payroll issuances made historically. As these receivables are advances from seller, it has been treated as a reduction to net debt. 3. Protection fees payable (increase \$19,000): Relates to remittance amounts held by the Company, which are owed to the state of Tennessee at the end of the fiscal year. As these are related to sales made pre-transaction, it has been treated as a net debt item. 4. Payroll payable to Harpeth (increase \$5,000): Relates to amounts owing to Harpeth Hills; this adjustment removes the expected costs to be incurred. As these are payables to a related party which will become a third party post-transaction, it has been treated as a net debt item.	Net debt		\$'000	30-Sep-19	Net debt, reported		Cash	1,824	Note receivable	438	Note payable	(11,069)	Net debt, reported	(8,806)	Potential adjustments		1 Reserve for future purchases	(92)	2 Employee advance	26	3 Protection fees payable	(19)	4 Payroll payable to Harpeth	(5)	Potential adjustments	(90)	Net debt, potentially adjusted	(8,896)	We have not discussed net debt in detail with Management at this stage and have not been provided with Management's view of net debt. ■ Reported net debt amounted to \$8.8 million as at September 30, 2019. This includes: – <i>Cash and equivalents:</i> The Company held \$1.8 million in cash and equivalents amongst its various entities. Management has represented that there are no restricted cash balances. – <i>Note receivable:</i> This balance relates to amounts owing from William Gregory. – <i>Note payable:</i> This balance primarily relates to third party loans payables.	n.a.
Net debt																															
\$'000	30-Sep-19																														
Net debt, reported																															
Cash	1,824																														
Note receivable	438																														
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3 Protection fees payable	(19)																														
4 Payroll payable to Harpeth	(5)																														
Potential adjustments	(90)																														
Net debt, potentially adjusted	(8,896)																														

Key findings (5) – Funding for pre-need contracts

Issue	Summary observations	Key analysis																																																																																																			
Funding for pre-need contracts As at August 31, 2019, the Company's cost for these investments was \$8.0 million with a fair market value of \$9.0 million.	The following summarizes the Company's pre-need trust accounts as at Aug. 31, 2019: <table><tr><th colspan="4">Pre-need trust accounts</th></tr><tr><th rowspan="2">\$'000</th><th colspan="2">As at 31-Aug-19</th><th rowspan="2">Funding</th></tr><tr><th>Cost</th><th>FMV</th></tr><tr><td>Hendersonville</td><td>(1,394)</td><td>1,680</td><td>286</td></tr><tr><td>Springfield</td><td>(695)</td><td>844</td><td>149</td></tr><tr><td>Crestview</td><td>(583)</td><td>696</td><td>113</td></tr><tr><td>Sumner</td><td>(479)</td><td>586</td><td>106</td></tr><tr><td>Joelton</td><td>(192)</td><td>233</td><td>41</td></tr><tr><td>Perpetual Care</td><td>(3,344)</td><td>4,039</td><td>694</td></tr><tr><td>Hendersonville</td><td>(1,102)</td><td>1,249</td><td>147</td></tr><tr><td>Crestview</td><td>(613)</td><td>685</td><td>72</td></tr><tr><td>Springfield</td><td>(424)</td><td>495</td><td>71</td></tr><tr><td>Sumner</td><td>(355)</td><td>387</td><td>32</td></tr><tr><td>Joelton</td><td>(278)</td><td>283</td><td>6</td></tr><tr><td>Merchandise Trust</td><td>(2,772)</td><td>3,099</td><td>328</td></tr><tr><td>Cole and Garrett</td><td>(1,895)</td><td>1,858</td><td>(37)</td></tr><tr><td>Pren fun</td><td>(1,895)</td><td>1,858</td><td>(37)</td></tr><tr><td>Preneed funding</td><td>(8,011)</td><td>8,995</td><td>985</td></tr></table> Source: Management provided information; KPMG analysis <table><tr><th colspan="3">Pre-need trust accounts - by level</th></tr><tr><th rowspan="2"></th><th colspan="2">As at 31-Aug-19</th></tr><tr><th>FMV</th><th>% Total</th></tr><tr><td>Equities</td><td>4,246</td><td>47.2%</td></tr><tr><td>Fixed Income</td><td>3,220</td><td>35.8%</td></tr><tr><td>Cash & Equivalents</td><td>832</td><td>9.2%</td></tr><tr><td>Other</td><td>698</td><td>7.8%</td></tr><tr><td>Mortgages</td><td>-</td><td>-</td></tr><tr><td>Real Estate</td><td>-</td><td>-</td></tr><tr><td>Total</td><td>8,995</td><td>100.0%</td></tr></table> Source: Management provided information; KPMG analysis	Pre-need trust accounts				\$'000	As at 31-Aug-19		Funding	Cost	FMV	Hendersonville	(1,394)	1,680	286	Springfield	(695)	844	149	Crestview	(583)	696	113	Sumner	(479)	586	106	Joelton	(192)	233	41	Perpetual Care	(3,344)	4,039	694	Hendersonville	(1,102)	1,249	147	Crestview	(613)	685	72	Springfield	(424)	495	71	Sumner	(355)	387	32	Joelton	(278)	283	6	Merchandise Trust	(2,772)	3,099	328	Cole and Garrett	(1,895)	1,858	(37)	Pren fun	(1,895)	1,858	(37)	Preneed funding	(8,011)	8,995	985	Pre-need trust accounts - by level				As at 31-Aug-19		FMV	% Total	Equities	4,246	47.2%	Fixed Income	3,220	35.8%	Cash & Equivalents	832	9.2%	Other	698	7.8%	Mortgages	-	-	Real Estate	-	-	Total	8,995	100.0%	n.a. ■ Pre-need trust Investments (table #1): - The Company is required by state by law to pay into pre-need trust investments a portion of the unperformed, price-guaranteed pre-need funeral contracts. As the Company receives payments from the customer, a portion of the amount is deposited into the trust. As the contract obligations are performed, amounts are withdrawn from the trust. - The fair value as at August 31, 2019 of these investments was \$9.0 million. The cost representing the funding due to customer receipts was \$8.0 million. The Company does not record the fund cost or fair market value on its balance sheet. ■ Fair value of investments (table #2): - The Company has invested \$4.2 million in equities, \$3.2 million in fixed income instruments and \$0.8 million in cash and cash equivalent assets. ■ Return on investments: - Historically the Company has earned a positive return on pre-need trust investments. - The Company is ineligible from withdrawing capital gains from the Perpetual Care fund, resulting in a 1.0% return as compared with the Merchandise Trust and Pren fun, which earned a 4.6% return.
Pre-need trust accounts																																																																																																					
\$'000	As at 31-Aug-19		Funding																																																																																																		
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Real Estate	-	-																																																																																																			
Total	8,995	100.0%																																																																																																			

Key findings (6) – US Tax Exposures

Issue	Summary observations	Key analysis																									
Summary of Estimated Tax Exposures	■ Below is a summary of the estimated tax exposures and other tax considerations concerning the Proposed Transaction: <table><tr><th colspan="5">Estimated Tax Exposures (exclusive of interest and penalties)</th></tr><tr><th>Identified Exposure Item</th><th>Issue</th><th>Amount (\$)</th><th>Risk</th><th>Page</th></tr><tr><td>Revocation of the Transfer of the Interests in Franklin</td><td>In the event that the transfer of the Franklin interests is given legal effect, tax may be imposed on the gain from a deemed distribution of any appreciated property by Family Legacy that could be taxable to Family Legacy.</td><td>291,907</td><td>Medium</td><td>33</td></tr><tr><td>Loss of S Corporation Status</td><td>Family Legacy and Joelton may lose their respective S elections due to various arrangements discussed in this report. In the event that either entity loses its S corporation status, the entity is likely to be treated as a C corporation and be liable for entity-level Federal income taxes.</td><td>350,954</td><td>Low to Medium</td><td>35</td></tr><tr><td>Combined Exposure</td><td></td><td>642,861</td><td></td><td></td></tr></table>	Estimated Tax Exposures (exclusive of interest and penalties)					Identified Exposure Item	Issue	Amount (\$)	Risk	Page	Revocation of the Transfer of the Interests in Franklin	In the event that the transfer of the Franklin interests is given legal effect, tax may be imposed on the gain from a deemed distribution of any appreciated property by Family Legacy that could be taxable to Family Legacy.	291,907	Medium	33	Loss of S Corporation Status	Family Legacy and Joelton may lose their respective S elections due to various arrangements discussed in this report. In the event that either entity loses its S corporation status, the entity is likely to be treated as a C corporation and be liable for entity-level Federal income taxes.	350,954	Low to Medium	35	Combined Exposure		642,861			Pages 31-45
	Estimated Tax Exposures (exclusive of interest and penalties)																										
	Identified Exposure Item	Issue	Amount (\$)	Risk	Page																						
	Revocation of the Transfer of the Interests in Franklin	In the event that the transfer of the Franklin interests is given legal effect, tax may be imposed on the gain from a deemed distribution of any appreciated property by Family Legacy that could be taxable to Family Legacy.	291,907	Medium	33																						
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Combined Exposure		642,861																									
■ The above tax exposure has been quantified based on certain assumptions noted in this report. These exposures are exclusive of interest and penalties.																											
■ We recommend you obtain protections within the purchase agreement including a broad set of representations, warranties, and indemnities. Specifically, we recommend that you seek legal counsel to ensure the purchase agreement includes a sufficiently robust indemnity for all pre-closing entity level income taxes, federal and state payroll taxes, non-income taxes (e.g. sales and use tax and property tax), and unclaimed property liabilities of Target and that such indemnity survive until after the expiration of the applicable statute of limitations.																											
■ We also recommend that the purchase agreement include a representation that the Predecessor Partnerships have not and will not elect to apply the partnership audit provisions of the Bipartisan Budget Act of 2015 for tax years beginning prior to January 1, 2018.																											



Supporting analysis: *Quality of earnings*

Supporting analysis

Quality of earnings (1) - Overview

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TTM Sept-19 reported EBITDA of approximately \$0.7 million increased to \$2.2 million after adjustments identified through the diligence process.

Refer to the commentary on the following pages for further details.

Quality of earnings			
	TTM		
\$'000s	FY17	FY18	Sept-19
Sales, reported	13,260	13,377	14,694
Potential adjustments	(1,674)	(2,156)	(2,129)
Sales, potentially adjusted	11,587	11,221	12,565
Net income, reported	1,113	987	(149)
Add/(deduct)			
Interest, net	370	291	369
Depreciation & amortization	382	564	497
Income taxes	5	3	-
EBITDA, reported	1,870	1,845	718
EBITDA margin, reported	14.1%	13.8%	4.9%
Management adjustments	901	691	2,850
EBITDA, management adjusted	2,771	2,536	3,568
EBITDA margin, management adjusted	20.9%	19.0%	24.3%
Potential adjustments	(1,319)	(1,364)	(1,369)
EBITDA, potentially adjusted	1,452	1,172	2,199
EBITDA margin, potentially adjusted	12.5%	10.4%	17.5%

Source: Management provided information; KPMG analysis

Other considerations			
	TTM		
\$'000s	FY17	FY18	Sept-19
EBITDA, potentially adjusted	1,452	1,172	2,199
A Shareholder salary	(230)	(230)	(230)
B Deferred commissions adjustment	n.q.	n.q.	n.q.
C Gross margin delay	n.q.	n.q.	n.q.
Other considerations	n.q.	n.q.	n.q.
EBITDA, incl. other considerations	n.q.	n.q.	n.q.

Source: Management provided information; KPMG analysis

Overview

- The quality of earnings analysis is prepared based on the following sources of information:
 - **Internal financial statements:** FY17, FY18 and YTD Sept-19 internal financial statements prepared by Target;
 - **Dataroom:** Supporting documents provided electronically by Management; and
 - **Meetings / discussions:** Held primarily with Cindy Foree (COO), Gregg Accas (CFO) and Rodney Edwards (Chief Business Development Officer).
- The nature of adjustments included in our quality of earnings analysis are as follows:
 - **Potential adjustments:** Includes adjustments to EBITDA identified during due diligence relating to non-recurring items.
 - **Pro forma adjustments:** Includes adjustments to EBITDA identified during due diligence relating to the impact of current and anticipated changes in the overall operations of the business.
- Certain items which may impact historical and future EBITDA were also identified during due diligence. See 'Other considerations' for further discussion.
- Significant adjustments are discussed further on the following pages.

Basis of preparation

The quality of earnings schedule adjacent illustrates potential EBITDA adjustments and other factors to be considered which were identified for the fiscal years ended December 31, 2017 and 2018, and September 30, 2019 trailing twelve months.

The proposed adjustments are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed adjustments.

Quality of earnings (2) – Management adjustments

DRAFT

Quality of earnings			
			TTM
\$'000s	FY17	FY18	Sep-19
Sales, reported	13,260	13,377	14,694
Potential adjustments	(1,674)	(2,156)	(2,129)
Sales, potentially adjusted	11,587	11,221	12,565
Net income, reported	1,113	987	(149)
EBITDA, reported	1,870	1,845	718
EBITDA margin, reported	14.1%	13.8%	4.9%
Management adjustments			
2 Other income and expense	901	691	2,850
Management adjustments	901	691	2,850
EBITDA, management adjusted	2,771	2,536	3,568
EBITDA margin, management adjusted	20.9%	19.0%	24.3%
Potential adjustments	(1,319)	(1,364)	(1,369)
EBITDA, potentially adjusted	1,452	1,172	2,199
EBITDA margin, potentially adjusted	12.5%	10.4%	17.5%

Source: Management provided information; KPMG analysis

Management adjustments

- The following adjustments to EBITDA have been identified by Management:

- Other income and expense:** This adjustment was proposed by Management, please see the supporting tab for further details.

Other Income and Expense			
			TTM
\$'000	FY17	FY18	Sep-19
Corporate payroll allocation	(705)	(854)	(1,842)
Corporate office supplies allocation	(118)	(91)	(393)
Gain/(Loss) on disposal	39	8	(189)
De-minimus Expense	(10)	(15)	(132)
Prior Year Inventory Adjustment	-	(115)	(115)
Other Income and Expense	(107)	377	(179)
Other Income and Expense	(901)	(691)	(2,850)

Source: Management provided information

- **Corporate payroll allocation:** These costs represent corporate payroll, and are allocated to each entity from the Corporate entity based on where their efforts are spent (Management estimate). Management represents these costs will not be recurring post-transaction and removed them from EBITDA.
- **Corporate office supplies allocation:** These costs represent corporate overhead costs, and are allocated to each entity from the Corporate entity based on revenue. Management represents these costs will not be recurring post-transaction and removed them from EBITDA.
- **Gain/(Loss) on disposition:** This adjustment represents non-recurring gain and loss earned on fixed assets.
- **De-minimus Expense:** Management expenses items that would normally be capitalized and are expensed to reduce the Company's tax liability. As a result, these expenses are reversed from EBITDA.
- **Prior Year Inventory Adjustment:** In Dec-18 the Company performed a physical inventory account for the first time in two fiscal years, this resulted in an adjustment to the inventory balance. Management does not expect this adjustment to be recurring as the counts will be completed on an annual basis.
- **Other Income and Expense:** Refer to Appendices.

Quality of earnings (3) - Potential adjustments

DRAFT

Quality of earnings			
	TTM		
\$'000s	FY17	FY18	Sep-19
Sales, reported	13,260	13,377	14,694
Potential adjustments			
1 Intercompany sales	(1,174)	(1,414)	(1,490)
4 Deferred revenue	(500)	(742)	(639)
Potential adjustments	(1,674)	(2,156)	(2,129)
Sales, potentially adjusted	11,587	11,221	12,565
Net income, reported	1,113	987	(149)
EBITDA, reported	1,870	1,845	718
<i>EBITDA margin, reported</i>	<i>14.1%</i>	<i>13.8%</i>	<i>4.9%</i>
Management adjustments	901	691	2,850
EBITDA, management adjusted	2,771	2,536	3,568
<i>EBITDA margin, management adjusted</i>	<i>20.9%</i>	<i>19.0%</i>	<i>24.3%</i>
Potential adjustments			
3 Corporate overhead	(788)	(661)	(779)
4 Deferred revenue adjustment	(357)	(498)	(426)
5 HH allocated expenses	(316)	(279)	(283)
6 CFO run-rate compensation	127	112	132
7 Vacation accrual	-	-	(84)
8 Overhead allocation	-	(68)	51
9 Alexander litigation expenses	16	30	20
Potential adjustments	(1,319)	(1,364)	(1,369)
EBITDA, potentially adjusted	1,452	1,172	2,199
<i>EBITDA margin, potentially adjusted</i>	<i>12.5%</i>	<i>10.4%</i>	<i>17.5%</i>

Source: Management provided information; KPMG analysis

Potential adjustments

- The following adjustments to sales have been identified as a part of the diligence process:

- Intercompany sales:** Cemetery & Funeral Solutions purchases merchandise from third parties and sells them: i) intercompany; ii) related parties (Harpeth Hills); and iii) third parties. This adjustment removes intercompany sales identified by Management.
- Deferred revenue:** This adjustment records Management's period-end deferred revenue adjustment, and includes recognition of revenue that was delivered in the current fiscal year.

The following adjustments to EBITDA have been identified as a part of the diligence process:

- Corporate overhead:** This adjustment reverses Management's proposed adjustment noted above, as payroll and overhead expenses would be recurring post-transaction. Furthermore, the adjustment (i) excludes shareholder expenses as these are non-recurring and (ii) straight-lines the expense as there are true-up entries made at Dec-17, Dec-18 and Sep-19. Please see the below table for further details:

Corporate adjustments			
	TTM		
\$'000	FY17	FY18	Sep-19
Reversal of Management adjustments			
Corp P/R Support (8290)	(705)	(854)	(1,842)
Corp Off Supp - Admin (8291)	(118)	(91)	(393)
Corp Off Supp - Sales (8292)	(44)	(44)	(11)
Reversal of Management adjustments	(868)	(989)	(2,246)
Shareholder's compensation			
William Gregory's salary & bonus	(80)	(372)	(1,318)
Shareholder's compensation add back	80	372	1,318
Corporate overhead, excl. shareholder's comp.	(788)	(617)	(929)
Straight line adjustment			
Dec-18 payments	-	-	116
Mar-19 payment	-	(44)	33
Straight line adjustment	-	(44)	149
QoE adj: Corporate overhead, adjusted	(788)	(661)	(779)

Source: Management provided information; KPMG analysis

Quality of earnings (3) – Potential adjustments

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Quality of earnings			
	TTM		
\$'000s	FY17	FY18	Sep-19
Sales, reported	13,260	13,377	14,694
Potential adjustments			
1 Intercompany sales	(1,174)	(1,414)	(1,490)
4 Deferred revenue	(500)	(742)	(639)
Potential adjustments	(1,674)	(2,156)	(2,129)
Sales, potentially adjusted	11,587	11,221	12,565
Net income, reported	1,113	987	(149)
EBITDA, reported	1,870	1,845	718
<i>EBITDA margin, reported</i>	<i>14.1%</i>	<i>13.8%</i>	<i>4.9%</i>
Management adjustments	901	691	2,850
EBITDA, management adjusted	2,771	2,536	3,568
<i>EBITDA margin, management adjusted</i>	<i>20.9%</i>	<i>19.0%</i>	<i>24.3%</i>
Potential adjustments			
3 Corporate overhead	(788)	(661)	(779)
4 Deferred revenue adjustment	(357)	(498)	(426)
5 HH allocated expenses	(316)	(279)	(283)
6 CFO run-rate compensation	127	112	132
7 Vacation accrual	-	-	(84)
8 Overhead allocation	-	(68)	51
9 Alexander litigation expenses	16	30	20
Potential adjustments	(1,319)	(1,364)	(1,369)
EBITDA, potentially adjusted	1,452	1,172	2,199
<i>EBITDA margin, potentially adjusted</i>	<i>12.5%</i>	<i>10.4%</i>	<i>17.5%</i>

Source: Management provided information; KPMG analysis

Potential adjustments

- Deferred revenue, adjustment:** EBITDA impact, refer to Deferred revenue above for details.
- HH allocated expenses:** The Company allocated costs (overhead and payroll) to Harpeth Hills, an entity outside of the transaction perimeter. However, these expenses will be recurring post-transaction and therefore have been included in EBITDA.
- CFO run-rate compensation:** This adjustment recognizes Management's restructuring, with Gregg Accas (CFO) retiring, Rodney Edwards being promoted to CFO, and removal of the Business Development role (Rodney's prior role). Please see the table below for further details:

CFO run-rate compensation			
	TTM		
\$'000s	FY17	FY18	Sep-19
Rodney's historical comp	127	96	118
GA's historical compensation	133	150	151
Compensation reversal	260	246	268
RE's adjusted compensation	(106)	(106)	(106)
RE's bonus	(27)	(28)	(30)
RE's run rate compensation	(134)	(135)	(136)
QofE adjustment: CFO run-rate comp.	127	112	132

Source: Management provided information; KPMG analysis

- Vacation accrual:** This adjustment recognizes the accrued vacation expense outstanding as at Sep-19. Management began accruing for these expenses in Nov-19.
- Overhead allocation:** The Company did not allocate all of overhead and payroll costs from it Corporate entity (outside of the transaction perimeter) during Dec-18, and corrected it during Jan-19. As this amount relates to FY18, this adjustment reverses the balance from Jan-19 to Dec-18.
- Alexander litigation expenses:** This adjustment reverses the one time litigation costs relating to the acquisition of the Alexander Funeral Home location in April 2017.

Quality of earnings (4) – Pro forma adjustments

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Quality of earnings	
	TTM
\$'000s	Sept-19
Sales, potentially adjusted	12,565
Pro forma adjustments	
10 Acquired locations	1,382
Pro forma adjustments	1,382
Sales, pro forma adjusted	13,947
EBITDA, potentially adjusted	2,199
Pro forma adjustments	
10 Acquired locations	185
Pro forma adjustments	185
EBITDA, pro forma adjusted	2,384
EBITDA margin, pro forma adjusted	17.1%

Source: Management provided information; KPMG analysis

Pro forma adjustments

- The following adjustments to sales have been identified as a part of the diligence process:
 10. **Acquired locations:** The Company acquired Music City Mortuary, Nashville Cremation Center and Tristar Cremation during Apr-19. This adjustment (i) straight-lines any corporate overhead costs from opening date of Apr-19 to Sep-19, as Management recognized the expense only in Sep-19, (ii) annualizes the average sales and EBITDA from Jul-19 to Sep-19 as that is reflective of run-rate performance, (iii) reverses any reported results, and reflects (i) across the historical period. Refer to Appendices, for further details.
- The following adjustments represent run-rate considerations, primarily reflecting the Company's acquisitions:
 10. **Acquired locations:** EBITDA impact, refer to Acquired locations above for details.

Quality of earnings (5) – Other considerations

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Other considerations

The following are potential quality of earnings considerations identified during due diligence. These items relate to other potential issues and opportunities that should be considered in the overall evaluation of the business. In addition, these items may be subjective in nature and as a result, have not been included in the quality of earnings schedule.

Other considerations			
			TTM
\$'000s	FY17	FY18	Sep-19
EBITDA, potentially adjusted	1,452	1,172	2,199
A Shareholder salary	(230)	(230)	(230)
B Deferred commissions adjustment	n.q.	n.q.	n.q.
C Gross margin delay	n.q.	n.q.	n.q.
Other considerations	n.q.	n.q.	n.q.
EBITDA, incl. other considerations	n.q..	n.q..	n.q..

Source: Management provided information; KPMG analysis

- A. **Shareholder salary:** Per the LOI, William Gregory will be paid a salary for two years post-transaction. Client represents his role will be non-operational and will not be replaced after the agreement expires. The impact to EBITDA for his post-transaction compensation is noted in the table above.
- B. **Deferred commissions adjustment:** This adjustment records Management's period-end deferred commissions adjustment (which would increase EBITDA). The information to quantify this balance is outstanding as of the date of this report.
- C. **Gross margin delay:** In certain circumstances, the Company recognizes COGS 30-45 days after revenue due to delays in invoicing from their vendor. This may result in revenue being recognized without any COGS impact and reported gross margin being misstated. As at the date of this report, Management represents this is non-quantifiable and would have a minimal impact to EBITDA.



Supporting analysis: *Net working capital*

Supporting analysis Stratified balance sheet

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The reported balance sheet has been stratified to net working capital (NWC), net debt, fixed assets, and 'other' categories. For net working capital, see the following pages for additional analysis.

Stratified Balance Sheet							
\$'000	As at			As at 31-Sep-19			
	31-Dec-17	31-Dec-18	30-Sep-19	NWC	Net debt	Fixed assets	Others
Assets							
Cash	500	2,275	1,824	-	1,824	-	-
Account receivable	3,845	2,932	3,056	3,056	-	-	-
Pre-need inventory	666	968	947	-	-	-	947
Inventory	360	294	322	322	-	-	-
Intercompany	3,779	1,788	-	-	-	-	-
Due from Harpeth	36	70	42	42	-	-	-
Employee advance	3	87	26	26	-	-	-
Note receivable	485	460	438	-	438	-	-
Prepaid expenses	-	-	10	10	-	-	-
Current assets	9,674	8,875	6,664	3,455	2,262	-	947
Fixed Assets	10,737	8,328	11,635	-	-	11,635	-
Note Receivable	-	-	-	-	-	-	-
Non-current assets	10,737	8,328	11,635	-	-	11,635	-
Total Assets	20,411	17,203	18,299	3,455	2,262	11,635	947
Liabilities & Shareholder's Equity							
Account payable	(563)	(627)	(322)	(322)	-	-	-
Accrued expenses	(51)	(36)	0	0	-	-	-
Accrual payroll	-	(224)	(217)	(217)	-	-	-
A/R-OFF	(387)	(366)	(450)	(450)	-	-	-
Intercompany	(2,497)	(1,644)	(30)	(30)	-	-	-
Due to Harpeth	(1)	(5)	-	-	-	-	-
Account insurance payable	(13)	(34)	(20)	(20)	-	-	-
Note payable	-	(37)	-	-	-	-	-
T/P	(727)	(764)	(759)	(759)	-	-	-
Current Liabilities	(4,238)	(3,735)	(1,797)	(1,797)	-	-	-
Note Payable	(10,258)	(7,944)	(11,069)	-	(11,069)	-	-
Long Term Liabilities	(10,258)	(7,944)	(11,069)	-	(11,069)	-	-
Total Liabilities	(14,496)	(11,679)	(12,866)	(1,797)	(11,069)	-	-
Net Assets	5,915	5,524	5,434	1,658	(8,806)	11,635	947

Source: Management provided information; KPMG analysis

Stratified balance sheet

- **Accounts receivable:** This balance primarily relates to amounts to be collected from insurance claims for services rendered (funeral home, memorial garden). There are no loans receivable, income taxes.
- **Pre-need inventory:** Primarily consists of \$0.5 million in Mausoleum assets, \$0.2 million of private estates and \$0.2 million of land spaces.
- **Inventory:** Primarily consists of casket inventory.
- **Note receivable:** Consists of amounts owing to William Gregory (owner).
- **Accounts payable:** Consists of trade payables relating to inventory or utilities.
- **Accrued payroll:** Consists of payroll amounts due to employees.
- **A/R Off:** Primarily relates to perpetual care due, protection fees and unearned interest.
- **T/P:** Primarily consists of "future performance costs" for deferred sales.

Supporting analysis

Net working capital (1) - Overview

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The pro forma adjusted average NWC for T3M Sept-19 is approximately \$0.1 million

After potential adjustments, average adjusted NWC as a percentage of net sales increases from (2.6%) in FY18 to 0.9% during T3M Sep-19.

Management represents, the increase is primarily driven by the Company generating higher sales but not focusing on collection of receivables similar to prior periods.

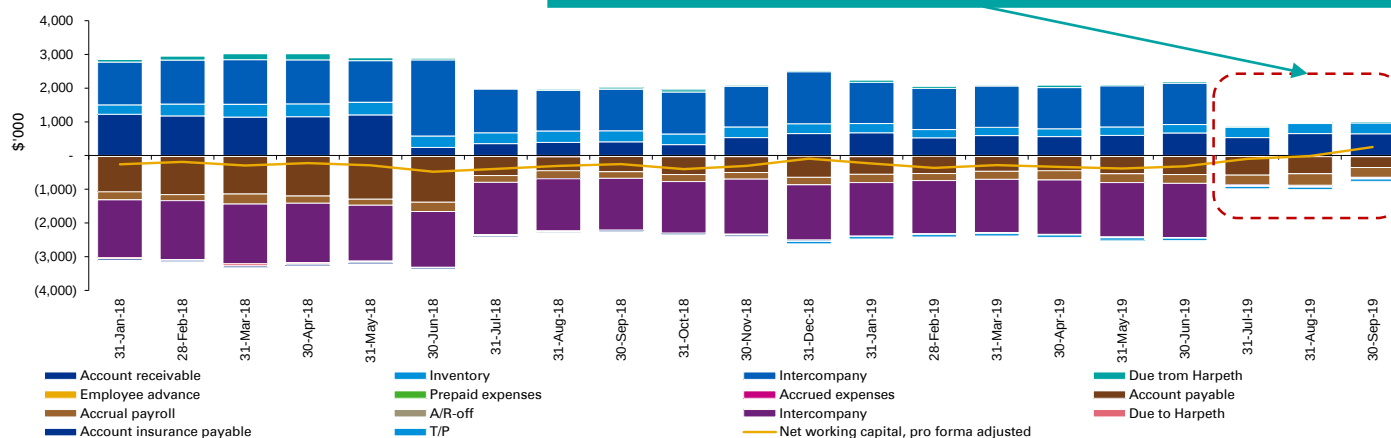
Net working capital					
	As at		Average		
	31-Dec-18	30-Sep-19	FY18	TTM Sep-19	T3M Sept-19
\$'000					
Net working capital, reported	1,474	1,658	1,426	1,558	1,774
Management adjustments	(1,469)	(1,330)	(1,439)	(1,480)	(1,662)
Net working capital, Management adjusted	5	328	(14)	78	112
As a % of TTM sales, Management adjusted	0.0%	2.2%	0.9%	(5.2%)	(6.7%)
Potential adjustments	(99)	(74)	(278)	(294)	(65)
Net working capital, potentially adjusted	(94)	254	(292)	(216)	47
As a % of TTM sales, potentially adjusted	(0.8%)	2.0%	(2.6%)	(1.7%)	0.4%
Pro forma adjustments	n.a	-	n.a	0	-
Net working capital, pro forma adjusted	n.a	254	n.a	(216)	47
As a % of TTM sales, pro forma adjusted	n.a	1.8%	n.a	(1.5%)	0.3%

Source: Management provided information; KPMG analysis

Basis of presentation

- The net working capital normalization schedule summarizes potential adjustments to be considered which were identified for the fiscal years ended December 31, 2017 and 2018 and the trailing twelve month period ended September 30, 2019.
- The proposed adjustments are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed adjustments.

Net working capital, adjusted



Source: Management provided information; KPMG analysis

The Company's receivables and payables are blended with intercompany balances, which do not eliminate. Starting Jul-19, Management reconciled and eliminated intercompany balances to \$nil. As a result, Client should consider the T3M Sep-19 pro forma adjusted average for the NWC peg.

Net working capital (2) - Management adjustments

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Net working capital					
	As at		Average		
	31-Dec-18	30-Sep-19	TTM	TTM	T3M
\$'000			FY18	Sep-19	Sept-19
Current assets	5,172	3,455	5,337	4,495	3,388
Current liabilities	(3,698)	(1,797)	(3,912)	(2,937)	(1,615)
Net working capital, reported	1,474	1,658	1,426	1,558	1,774
<i>As a % of TTM sales, reported</i>	<i>11.0%</i>	<i>11.3%</i>	<i>10.7%</i>	<i>10.6%</i>	<i>12.1%</i>
Management adjustments					
1a Account receivable	(2,164)	(2,171)	(2,162)	(2,129)	(2,154)
1b Intercompany	(1,788)	-	(1,617)	(1,131)	-
1c Due from Harpeth	(32)	-	(32)	(24)	-
1d Employee advance	(87)	(26)	(136)	(97)	(28)
1e Accrued expenses	16	(31)	16	(190)	(345)
1f A/R Off	366	448	376	396	431
1g Intercompany	1,644	-	1,571	1,193	-
1h Due to Harpeth	-	-	-	(0)	-
1i T/P	693	687	708	686	673
1 Non-NWC balances	(1,353)	(1,092)	(1,274)	(1,296)	(1,423)
90+ day receivables	(116)	(238)	(165)	(184)	(239)
Management adjustments	(1,469)	(1,330)	(1,439)	(1,480)	(1,662)
Net working capital, Management adjusted	5	328	(14)	78	112
<i>As a % of TTM sales, Management adjusted</i>	<i>0.0%</i>	<i>2.2%</i>	<i>(0.1%)</i>	<i>0.5%</i>	<i>0.8%</i>
Potential adjustments	(99)	(74)	(278)	(294)	(65)
Net working capital, potentially adjusted	(94)	254	(292)	(216)	47
<i>As a % of TTM sales, potentially adjusted</i>	<i>(0.8%)</i>	<i>2.0%</i>	<i>(2.6%)</i>	<i>(1.7%)</i>	<i>0.4%</i>
Pro forma adjustments	n.a	-	n.a	0	-
Net working capital, pro forma adjusted	n.a	254	n.a	(216)	47
<i>As a % of TTM sales, pro forma adjusted</i>	<i>n.a</i>	<i>1.8%</i>	<i>n.a</i>	<i>(1.5%)</i>	<i>0.3%</i>

Source: Management provided information; KPMG analysis

Management adjustments

The following adjustments to NWC have been identified by Management:

- Non-NWC balances:** Management identified various trial balances accounts, which should be removed from NWC due to the nature of the account's activity, including;
 - Accounts receivable:** Relates to pre need receivables acquired which were incorrectly recorded and as a result have been removed from NWC for purposes of the transaction.
 - Intercompany:** This adjustment relates to balances within the Franklin entity, which is outside of the transaction perimeter.
 - Due from/to Harpeth:** Relates to amounts owed from Harpeth Hills.
 - Employee advance:** This adjustment relates to payroll advances made to employees. This has been reflected in the Net Debt schedule on page 15.
 - Accrued expenses:** Relates to shareholder compensation allocation along with sales, real estate and franchise and enterprise taxes payable.
 - A/R OFF:** Primarily composed of perpetual care due, which relates to long-term liabilities for perpetual care services. This account also includes protection fees payable, these relate to remittance amounts held by the Company, which are owed to the state of Tennessee. These amounts are long term in nature and as such would be removed from NWC.
 - T/P:** Primarily relates to contract sales, which have be recognized upon sale along with the estimated costs. The contracts would relate to a long term liability and as such have been removed from NWC.
- 90+ day receivables:** This adjustment relates to outstanding receivables greater than 90 days, which are unlikely to be collected upon. As a result, these receivables have been removed from NWC.

Net working capital (3) - Potential and Pro forma adj.

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Net working capital					
	As at		Average		
	31-Dec-18	30-Sep-19	TTM FY18	T3M Sep-19	T3M Sept-19
\$'000					
Current assets	5,172	3,455	5,337	4,495	3,388
Current liabilities	(3,698)	(1,797)	(3,912)	(2,937)	(1,615)
Net working capital, reported	1,474	1,658	1,426	1,558	1,774
<i>As a % of TTM sales, reported</i>	<i>11.0%</i>	<i>11.3%</i>	<i>10.7%</i>	<i>10.6%</i>	<i>12.1%</i>
Management adjustments	(1,469)	(1,330)	(1,439)	(1,480)	(1,662)
Net working capital, Management adjusted	5	328	(14)	78	112
<i>As a % of TTM sales, Management adjusted</i>	<i>0.0%</i>	<i>2.2%</i>	<i>(0.1%)</i>	<i>0.5%</i>	<i>0.8%</i>
Potential adjustments					
3a Intercompany - liabilities	(1,644)	-	(1,571)	(1,193)	-
3b Intercompany - assets	1,788	-	1,617	1,131	-
3c Loan due from Alexander FH	(250)	-	(250)	(188)	-
3d Note Receivable-Gallatin	-	-	-	-	-
3e Note Receivable	-	-	-	-	-
3f Note Due from HV - Mausoleum Const 1	-	-	-	-	-
3g White House Share of Purchase (Pinn)	-	-	-	-	-
3 Intercompany balances	(105)	-	(205)	(249)	-
4 Vacation accrual	-	(84)	-	(35)	(75)
5 CFO run-rate compensation	6	5	5	5	5
6 Inventory adjustment	-	-	(79)	(18)	-
7 Payroll payable to Harpeth	0	5	1	3	5
Potential adjustments	(99)	(74)	(278)	(294)	(65)
Net working capital, potentially adjusted	(94)	254	(292)	(216)	47
<i>As a % of TTM sales, potentially adjusted</i>	<i>(0.8%)</i>	<i>2.0%</i>	<i>(2.6%)</i>	<i>(1.7%)</i>	<i>0.4%</i>
Pro forma adjustments					
8 QofE pro forma adjustments	n.a	-	n.a	0	-
Pro forma adjustments	n.a	-	n.a	0	-
Net working capital, pro forma adjusted	n.a	254	n.a	(216)	47
<i>As a % of TTM sales, pro forma adjusted</i>	<i>n.a</i>	<i>1.8%</i>	<i>n.a</i>	<i>(1.5%)</i>	<i>0.3%</i>

Source: Management provided information; KPMG analysis

Potential adjustments

The following adjustments to NWC have been identified as a part of the diligence process:

- Intercompany balances:** Management represents that intercompany balances were blended with accounts receivable, accounts payable and accrued liabilities in the historical period. In order to represent the appropriate NWC balance, all intercompany balances were added back to NWC. This excludes any note receivables and payables as Management represents they are fully non-operational.
- Vacation accrual:** This adjustment recognizes the accrued vacation expense outstanding as at Sep-19. Management began accruing for these expenses in Nov-19.
- CFO run-rate compensation:** This adjustment recognizes the adjusted accrued payroll expense (using a 15 day DPO), based on Management's restructuring, with Gregg Accas (CFO) retiring, Rodney Edwards being promoted to CFO, and removal of the Business Development role (Rodney's prior role).
- Inventory adjustment:** This adjustment recognizes the NWC impact of management's QofE adjustment #2, where the Company wrote down inventory after performing an inventory count in Dec-18 after a two year period. The adjustment assumes Management would have recognized the write-down over a twelve month period.
- Payroll payable to Harpeth:** This adjustment relates to amounts owing to Harpeth Hills. This adjustment adds back the expected costs of the payroll owed to Harpeth Hills.

Pro forma adjustments

The following adjustments to NWC have been identified as a part of the diligence process:

- Acquired locations:** This adjustment relates to QofE pro forma adjustment #8. In Apr-19, the Company acquired Music City Mortuary, Nashville Cremation Center and Tristar Cremation. This adjustment recognizes the NWC impact run rate gross margin for each location.



Supporting analysis: *US Federal Tax*

Supporting analysis US Federal Tax

Issue	Summary observations
Scope	■ Our US tax due diligence was limited to the procedures set forth in the Appendices. In performing these procedures, we read the requested documents with respect to Family Legacy, LLC ("Family Legacy"), Cemetery & Funeral Solutions LLC ("CFS"), Cole and Garrett, LLC ("Cole and Garrett"), Gallatin Memory Gardens, LLC ("Gallatin"), Hendersonville Memory Gardens & Funeral Home, LLC ("Hendersonville"), Joelton Hills Memory Gardens, Inc. ("Joelton"), Simple Cremation & Funeral, LLC ("SCF"), Sumner MG, LLC ("Sumner"), and West Harpeth Funeral Home, L.L.C. ("West Harpeth") (collectively, "Target") provided in the virtual data room by Target's management ("Management") and tax advisor, KraftCPAs PLLC ("Tax Advisor") (see Appendices). We also had discussions with Management and Tax Advisor on October 23, 2019 and with Management on October 24, 2019. ■ The findings and discussions herein are based on the information provided and representations made by Management and Tax Advisor provided on conference calls and through the virtual data room and email correspondence. We have not independently verified the information provided to us nor confirmed the truthfulness of the statements made to us during the course of our work. Our procedures do not include the rendering of tax opinions, expressed or implied. ■ The findings and discussions herein are preliminary, as certain information has been requested and not yet been provided. Key outstanding information includes Joelton's signed Form 2553 to be treated as an S corporation effective July 17, 2001 as well as the corresponding IRS acceptance of that election. ■ We further note that our scope does not include the reading of tax returns filed for Joelton for the tax years prior to 2016. As such, our estimate of the exposure related to Joelton are based on the information available for the tax years 2016 to 2018 only (See Appendices for the other outstanding items).
Proposed Transaction	■ We understand that PLC Signature, Ltd. ("Buyer" or "PLC Signature") intends to acquire 100% of the stock or membership interests, as applicable, in Target in exchange for cash of \$32.5M and covenant not to compete of \$1.0M (the "Proposed Transaction"). <i>S Corporations</i> ■ We understand that each of Family Legacy and Joelton (collectively, the "S Corporations") has made an election to be classified as an S corporation for USFIT purposes. A valid S corporation is treated as a pass-through entity for USFIT purposes and is generally not subject to entity-level USFIT except for any built-in gains taxes associated with assets it has owned as a C corporation. However, S corporations are subject to entity-level US federal non-income taxes, such as employment taxes and entity-level penalties. Further, entity-level state and local income/franchise tax and non-income tax liabilities, such as sales and use tax, property tax, employment tax and unclaimed liabilities may be inherited by the purchaser through the acquisition of the S corporation stock. <i>Disregarded Entity</i> ■ Based on our discussion with Management and Tax Advisor, we understand that each of CFS, Cole and Garrett, Gallatin, Hendersonville, SCF, Sumner, and West Harpeth is currently treated as a disregarded entity for USFIT purposes. Accordingly, successor liability with respect to the historical USFIT liabilities of these entities is anticipated to be limited. However, successor liability for certain state and local income tax purposes may still exist. <i>Recommendation</i> ■ We recommend that the purchase agreement include full indemnities for all historical tax liabilities of Target, including any of the predecessor entities and that such indemnities survive until after the expiration of the applicable statute of limitations.

Issue	Summary observations
Background	■ Target is a family-owned business founded in the late 1970s with a collection of funeral businesses and cemeteries located in Tennessee. Target offers burial, cremation, preplanning, and cemetery options for families located throughout middle Tennessee. ■ Family Legacy is a corporation formed under Tennessee law currently taxed as an S corporation for US federal income tax ("USFIT") purposes. Family Legacy owns 100% of the interests in six limited liabilities companies ("LLCs") that are DREs for USFIT purposes and 100% of the interests in Joelton, which is currently treated as a qualified subchapter S subsidiary ("QSub") for USFIT purposes. ■ Family Legacy is currently owned by five individuals with the most significant owner being William Gregory ("William") who owns a 90.669% interest. Please see the Appendices for Target's current organizational structure. <i>Reorganization involving the Crowe Trusts (2010)</i> ■ Prior to March 31, 2010, Gallatin and Hendersonville have been owned by William and two trusts: Eugene S. Crowe Undated Marital Deduction Trust and Eugene S. Crowe undated Residual Trust (collectively, the "Crowe Trusts"). Prior to March 31, 2010, West Harpeth was owned by William, the Crowe Trusts, and three members of William's family. On March 31, 2010, William purchased the Crowe Trusts' interests in Gallatin, Hendersonville, and West Harpeth, thereby causing Gallatin and Hendersonville to become single-member LLCs. <i>Reorganization into Family Legacy (2018)</i> ■ After the 2010 transaction and prior to January 1, 2018, the Target entities were being taxed as sole proprietorships (Family Legacy, Cole and Garrett, Gallatin, Hendersonville, SCF, and Sumner), partnerships (CFS and West Harpeth), and S corporation (Joelton). ■ To simplify the Tennessee state tax filing obligations, Family Legacy elected to be taxed as an S Corporation effective January 1, 2018. Also on January 1, 2018, Family Legacy acquired from William 100% of the interests in Cole and Garrett, Gallatin, Hendersonville, SCF, Sumner, and Joelton and 100% of the interests in CFS and West Harpeth from William and the other partners. ■ <i>Franklin</i> – We received a copy of the executed membership interest and purchase agreement documenting Family Legacy's acquisition of 100% of the membership interests in Franklin Funeral Home, LLC ("Franklin") as part of the 2018 reorganization. We understand that it was not the intention of the parties to transfer any interest in Franklin to Family Legacy and that this agreement was inadvertently executed. We have received the documentation supporting the revocation of the Franklin Agreement and we understand that Franklin is not party to the Proposed Transaction. ■ <i>Joelton</i> – The stock of Joelton was also transferred on January 1, 2018. We have received an unsigned copy of Joelton's Form 2553, electing to be treated as an S corporation effective on the date of its incorporation July 16, 2001, and its Form 8869, electing to be treated as a QSub along with the corresponding IRS acceptance letter referring to the Form 8869. Based on the foregoing, Joelton appears to have been an S corporation since the date of inception and a QSub of Family Legacy effective January 1, 2018.

Issue	Summary observations
Background (continued)	<i>Asset Acquisitions (2014-2019)</i> ■ Management represented that, other than the following asset acquisitions, Target has not been party to any mergers, acquisitions, divestitures, bankruptcies, restructurings, and joint ventures within the last five years. Based on the documents provided and our discussions with Management and Tax Advisor, each of the following acquisitions was an asset acquisition for USFIT purposes. We understand that no tax due diligence was performed in connection with any of these transactions: – 2014 – Acquisition of the business assets of Cole & Garrett Funeral Homes – 2015 – Acquisition of the business assets of Nashville Funeral & Cremation – 2016 – Acquisition of a piece of real estate known as the “Alexander Funeral Home Building” – 2019 – Acquisition of the business assets of Music City Mortuary, Nashville Cremation Center, and TriStar Cremation <i>Recommendation</i> ■ We recommend that the purchase agreement include sufficiently robust representations and warranties to protect Buyer from any tax liabilities of Target in connection with the 2018 reorganization or any successor liabilities stemming from the prior acquisitions.
Revocation of the Transfer of the Interests in Franklin	■ As mentioned, we received a copy of the executed membership interest and purchase agreement documenting Family Legacy’s acquisition of 100% of the membership interests in Franklin Funeral Home, LLC (“Franklin”). We understand that the parties have never intended to transfer any interest in Franklin to Family Legacy and that this agreement was inadvertently executed. We also received the documentation supporting the revocation of the transfer agreement. We understand that the revocation documents, while effective on January 1, 2018, were executed after the close of the 2018 tax year, sometime during the due diligence process in connection with the Proposed Transaction. ■ Management appears to be taking the position that the original transfer was never legally effective because the transfer agreement was not filed with the Secretary of State. However, it is our understanding from discussions with legal counsel that this fact alone should not be sufficient to eliminate the possibility of the transfer agreement being legally effective on January 1, 2018. ■ Arguments can be made that the transfer of Franklin to Family Legacy was a scrivener’s error and that, as such, it should not be given effect for tax purposes (see for example <i>Holland v. Commissioner</i>, T.C. Memo 1997-302 (1997)) However, the fact that the revocation documents were executed after the close of the tax year in which the transfer agreement was executed increases the risk that the IRS may assert the original transfer should be given effect for tax purposes (see e.g., Rev. Rul. 80-58). ■ In the event that the execution of the initial transfer agreement is legal effective such that, for USFIT purposes, the Franklin interests are treated as transferred to Family Legacy, gain may be recognized by Family Legacy on a deemed distribution by Family Legacy to William of any appreciated Franklin property that are transferred. Furthermore, if Family Legacy was not a valid S corporation at the time of the initial transfer, that gain should be taxed at the Family Legacy level, thereby creating an exposure that Buyer may succeed to. ■ Based on the foregoing, and assuming the value of the Franklin property is \$3.5M, the gain that should result from the purported transfer of the Franklin interests is approximately \$1M, thus, we anticipate a federal and state tax exposure of approximately \$0.26M, excluding penalties and interest.

Issue	Summary observations
Revocation of the Transfer of the Interests in Franklin (continued)	<i>Intercompany Rent</i> ■ We understand that one of Family Legacy's subsidiaries leases a building (i.e., Alexander Funeral Home) from Franklin. As such, it is expected that Family Legacy should deduct rent as an expense on its tax return. Management represented that the amount of the rent payments are below the market rate of rent. Based on the information available in the VDR, it appears that the amount of rent paid by Family Legacy from FY18 to June 2019 is \$90,000. In the event the IRS asserts that Family Legacy's S election is invalid, Family Legacy should be taxed at the entity level as a C corporation for the 2018 tax year. In the event that the revocation of the transfer of the interests in Franklin is not effective for US tax purposes, the rental expense deduction should be disallowed (since Franklin should be deemed to be owned by Family Legacy). As such, we estimate a tax exposure related to the rental deduction of approximately \$23,500 in federal and state taxes excluding penalties and interest. <i>Recommendation</i> ■ Based on our understanding of the facts, we evaluate the risk to be medium. We recommend that the purchase agreement include sufficiently robust representations and warranties to protect Buyer from any tax liabilities of Target in connection with the purported revocation of the Franklin transfer agreement.
Partnership Audit Rules	■ Buyer may be impacted by historical non-income tax liabilities (i.e., payroll taxes, sales and use taxes, property taxes, and unclaimed property filings) of CFS and West Harpeth (collectively, the "Predecessor Partnerships"). Pursuant to the new partnership audit rules under Sections 6221 and 6225 of the Internal Revenue Code (i.e., the Bipartisan Budget Act of 2015), partnerships may be subjected to assessment by the IRS in connection with any imputed underpayment amounts. Provided that none of the Predecessor Partnerships make an election to apply the provisions early, these rules are likely applicable to the Predecessor Partnerships for any tax year beginning on or after January 1, 2018. ■ Management has represented that none of the Predecessor Partnerships have made an election to apply the provisions of Section 6225 of the IRC early (i.e., for years prior to the 2018). <i>Recommendation</i> ■ We recommend that the purchase agreement include a provision that would require the Predecessor Partnerships to abstain from making an election to apply the Bipartisan Budget Act of 2015 rules for returns filed for taxable years beginning prior to January 1, 2018 and a representation that the Predecessor Partnerships have not applied the partnership audit provisions of the Bipartisan Budget Act of 2015 for tax years beginning prior to January 1, 2018. We further recommend that the purchase agreement include a provision that would require the Predecessor Partnerships to make an election under Section 6226 to "push-out" any adjustments to its members to further limit Buyer's exposure in connection with the federal income tax liabilities of the Predecessor Partnerships for any tax years for which the partnership audit provisions are effective.

Supporting analysis US Federal Tax

Issue	Summary observations
Federal Statute of Limitations and Audit History	■ In general, the statute of limitations for USFIT and most state income tax purposes is three years from the later of the filing date or the due date of the applicable tax return, although some states have a four-year statute of limitations. – The three-year statute of limitations assumes there was no “significant understatement of gross income” (defined as an omission of more than 25% of gross income) or fraud occurred on the return and that the taxpayer has not consented to extend the statute of limitations. – The statute of limitations is extended to six years in the case of significant understatement of gross income and indefinitely in the case of fraud. If a return is not filed, the tax year remains open to examination indefinitely as the statute of limitations has not begun to operate. Further, the statute may remain open for certain items if information regarding foreign operations is not adequately reported. ■ Management and Tax Advisor represented Target has not been audited by the IRS or state tax authorities, and are not aware of any pending federal, state, or local tax audits.
Tax Compliance Profile	■ Target is an accrual method taxpayer with a tax year-end of December 31. Management confirmed that Target has timely filed all required tax returns. ■ Target’s tax function is handled by Tax Advisor to the extent of USFIT, state and local income taxes, and Tennessee franchise & excise taxes. Target’s payroll function is performed through Paycom. Target’s sales and use, property tax are handled internally.
S Corporation Status	<i>Requirements for S Corporation Election</i> ■ A valid S corporation election requires eligible shareholders to properly complete and file a Form 2553, <i>Election by a Small Business Corporation</i>. Furthermore, S corporations are subject to a number of restrictions, including the following: – An S corporation may not have more than 100 shareholders; – The shareholders of an S corporation must be individuals, estates, certain types of trusts, and/or certain tax-exempt organizations (partnerships and corporations are not eligible shareholders of S corporations); – An S corporation cannot be an ineligible corporation as defined in Section 1361(b)(2) (i.e., a bank or insurance company, a Section 936 corporation, or a DISC); and – An S corporation is allowed to have only one class of stock issued and outstanding. ■ An S corporation election will be terminated if any of the requirements are violated. A termination of the S corporation status may result in the corporation’s status reverting to a C corporation status and the imposition of entity-level federal income tax. ■ As discussed, a company that makes a valid S corporation election is not subject to USFIT at the entity level; rather, its items of income and deduction flow through to its shareholders. If a company’s S corporation election is not valid, then the company should be treated as a C corporation, subject to historical federal and state income taxes as well as state entity-level non-income tax liabilities (i.e., payroll taxes, sales and use taxes, property taxes, etc.).

Issue	Summary observations
S Corporation Status – Single Class of Stock Requirement	■ We understand that Family Legacy filed Form 2553 to be treated as an S corporation effective January 1, 2018. We have also received an unsigned copy of Joelton's Form 2553, electing to be treated as an S corporation effective on the date of its incorporation, July 16, 2001, and its Form 8869, electing to be treated as a QSub. We have further received the IRS acceptance letter accepting Family Legacy's election to be treated as an S corporation and the IRS acceptance letter accepting Joelton's election to be treated as a QSub. We have requested, but have not yet received, approval letters from the IRS confirming that Joelton's initial S corporation election (i.e., the elections made on Joelton's Form 2553) was accepted by the IRS. ■ As discussed above, an S corporation cannot have more than one class of stock. Generally, a corporation is treated as having one class of stock if all outstanding shares confer identical rights to distribution and liquidation proceeds. The determination of whether all outstanding shares confer identical rights depends on what the entity's governing documents (e.g., articles of incorporation and bylaws) provide, as well as other arrangements that may give rise to non-pro-rata distributions, including the following: – Certain debt obligations of an entity if, under the relevant US tax rules around debt/equity classification, it should be treated as equity and the principal purpose of entering into the arrangement is to circumvent the rights to distribution. However, if the instrument meets the "straight debt" safe harbor, it will not be treated as a second class of stock for S eligibility purposes. This safe harbor is met if, among other things: ■ The interest rate and payment dates are not contingent on profits or the corporation's discretion; ■ The instrument cannot be converted to equity; and ■ The creditor is an individual, an estate, or certain trusts or persons actively and regularly engaged in the business of lending money. – Buy-sell agreements or other agreements restricting the transfer of stock if they are intended to circumvent the one class of stock requirement and establish a purchase price that significantly exceeds or falls below the fair market value. – An agreement to pay an employee under a deferred compensation plan if the obligation or agreement is funded and/or is secured with a promise to pay money or property in the future. – Certain call options, warrants, or similar instruments issued by an entity if, based on all of the facts and circumstances, it is substantially certain to be exercised by the holder and has a strike price substantially below the fair market value of the underlying stock on the date of issuance. <i>Operating Agreement of Family Legacy</i> ■ Based on The Amended Operating Agreement of Family Legacy ("Operating Agreement") dated January 1, 2018, a shareholder that wishes to sell their membership interests in Family Legacy must set the purchase price of such interests at the fair market value as it is defined under the Operating Agreement. The Operating Agreement, however, states that goodwill has no value for purposes of determining the purchase price, unless paid for and carried on the books of Family Legacy. ■ If assigning no value to goodwill causes the purchase price of the stock to be significantly in excess of or below the fair market value of the stock at the time the agreement is entered into, the IRS may argue that the agreement creates a second class of stock and, therefore, that Family Legacy's S election was invalid effective on the date of the agreement.

Issue	Summary observations
S Corporation Status – Single Class of Stock Requirement (continued)	<i>Operating Agreement of Family Legacy (continued)</i> ■ With respect to the liquidating distributions of Family Legacy, the Operating Agreement provides that (1) the remaining reserves will be distributed to the shareholders or their assigns in the order of priority for “Member distributions” and (2) any in-kind assets of Family Legacy are to be distributed using their fair market value at the distribution date, as determined by the Managing Member. As the provisions do not explicitly require the distributions to be proportionate, the IRS may assert that Target’s stock does not confer identical rights to distribution and liquidation. ■ Management represented that the provisions above were drafted by Target’s legal counsel and that their intention was for all distributions by Family Legacy to be proportionate to ownership interests. We understand that Target has not yet made any distributions since the effective date of its S election. <i>Shareholder Debt</i> ■ We understand that, as of January 1, 2018, there was an outstanding non-interest bearing loan to Family Legacy from William of approximately \$0.25M and from each of his two sons, also shareholders of Family Legacy, of approximately \$20,000. We understand that none of these loans were documented in writing. Management represented that William’s loan had remained outstanding for approximately a year and that each of these loans has been repaid in full. It is our understanding that no shareholder has made a loan to Target since January 1, 2018 and that, currently, Target does not have any debt payable to a shareholder. ■ The abovementioned loans may not meet the “straight debt” safe harbor as, among other things, the creditors are not engaged in the business of lending money. In the event that the loans are treated as equity rather than debt under US tax law and the principal purpose of issuing or entering into the arrangements was to circumvent the single class of stock requirement, the IRS may assert that Family Legacy’s S election was invalid. However, based on our understanding that William’s loan was to cover the tax liabilities of Family Legacy and was repaid in full after a year once the tax refund was received and that the loans from his sons have also been repaid in full, it may be asserted that the principal purpose was not to circumvent the single class of stock requirement. <i>Crowe Trusts as Eligible Shareholders</i> ■ Prior to the acquisition of all of the interests of Joelton by William Gregory, certain trusts controlled by the Crowe family were shareholders of Joelton. As part of our due diligence, we were unable to confirm whether those trusts were eligible S corporation shareholders.

Supporting analysis US Federal Tax

Issue	Summary observations
S Corporation Status – Single Class of Stock Requirement (continued)	<i>Revocation of the Transfer of the Interests in Franklin</i> ■ It is possible that this deemed distribution that results in the gain discussed in the earlier section relating to this matter is viewed as creating an impermissible second class of stock of Family Legacy, thereby adding to the risk that Family Legacy's S corporation status may be found invalid. <i>Recommendation</i> ■ If Family Legacy's and Joelton's S corporation elections are invalid, Family Legacy and Joelton should be subject to USFIT as C corporations for FY18 to FY19 tax years and FY16 to FY19 tax years, respectively. Based on the available information, it appears that the risk that the single class of stock requirement has not been met for is low to medium. ■ The aggregate estimated exposure is anticipated to be approximately \$0.351M, exclusive of interest and penalties, based on the amounts reported as income on the tax returns filed for the FY16 to FY18 tax years as well as net income to date for FY19 reported in the internal financial reports for Family Legacy. ■ We recommend that the purchase agreement include sufficiently robust representations and warranties regarding the validity of the S corporation elections of Family Legacy and Joelton and of any historical liabilities of these entities in the event that either entity should have been classified as a C corporation due to an invalid S corporation election. ■ Any buy-sell agreements entered into prior to closing by the shareholders of Target should be reviewed and the impact on the S Corporations should be evaluated before those agreements are consummated.

Supporting analysis US Federal Tax

Issue	Summary observations
Preneed Trusts – Revenue Recognition	- Based on our discussion with Management and Tax Advisor, we understand that Target offers a preneed trust arrangement for cemetery merchandise and services. We understand that the funds prepaid to the trust are paid to Target in the case of death of the customer as well as in the event of cancellation of the contract between the customer and Target. Furthermore, in the event of cancellation, it is in Target's discretion whether to deliver any of the products set forth in the contract. Management represented that the prepayments are being recognized, for tax purposes, in full at the time of receipt by the trust. This approach appears to be in line with the relevant section of the Internal Revenue Code and the Treasury Regulations promulgated thereunder. <i>Recommendation</i> - As the full amount of the trust fund is either paid to Target at the time of death or retained by Target in the event of cancellation, the amounts should continue to be recognized for tax purposes by Target at the time that the funds are contributed to the trust. Alternatively, Target may choose to recognize for tax purposes the portion that is recognized for financial reporting purposes in the year of contribution and to defer the recognition for tax purposes of the remainder to the following year, but not beyond that. While no exposure is identified with respect to this item, we wanted to highlight this alternative permissible method in connection with the treatment of these amounts.

Supporting analysis

US Federal Tax

Issue	Summary observations
Other US Federal Income Tax Findings	■ Based on our discussion with Management and Tax Advisor, we understand that Target: – has not been subject to any federal tax audits in the open tax years; – has not consented to any extensions to the statutes of limitation under federal, state, or local law in connection with tax matters; – has not implemented and is not contemplating any tax planning strategies; – has not entered into any “Listed Transactions,” as described in Treasury Regulations Section 301.6111-2(b)(2) or “Reportable Transactions” within the meaning of Treasury Regulations Section 1.6011-4(b); – has no tax liens recorded against itself or its property; – has not entered into any tax sharing agreements or other tax arrangements; – does not have any tax reserves or reserves for any uncertain positions; – has no limitations on the use of its tax attributes; – does not enjoy any tax holidays or other incentives; – does not have any direct or indirect control / financial interests in / signature authority over any foreign bank accounts; – does not have any tax opinion letters, correspondence, or memoranda or studies prepared by its Tax Advisor, or its tax counsel regarding tax planning or significant tax exposure items; and – has not filed any changes in method of accounting during the last five years.



Supporting analysis: *US State & Local Tax*

Supporting analysis

US State & Local Tax

Issue	Summary observations
Income / Franchise Tax	■ Some states subject pass-through entities—including disregarded SMLLCs and S corporations—to an entity-level tax in a manner similar to C corporations (e.g., Tennessee). Despite the requirement that each legal entity files a Tennessee franchise and excise tax return, the disregarded status of a SMLLC with a corporate owner (either a C corporation or S corporation) is respected for Tennessee purposes and permitted to file as part of its corporate owner's return (e.g., as a division). ■ Target (and its various entities) have historically operated almost exclusively in Tennessee and sourced 100% of receipts to the state based on sample income tax returns provided. Prior to 2018, Management stated that Target and each of its various entities separately filed Tennessee franchise and excise tax returns as required. Target underwent the 2018 Reorganization, in part, to minimize its Tennessee franchise and excise tax filing obligations by electing to treat Family Legacy as an S corporation for USFIT purposes. As a result, all disregarded SMLLCs owned by Family Legacy were subsequently permitted to report their respective activities on Family Legacy's franchise and excise tax return, minimizing administrative burden. For tax year 2018, we received Tennessee franchise and excise tax returns for Family Legacy and Joelton (a QSub) as would be expected based on the 2018 reorganization. ■ We note that we have requested, but not yet received, all Tennessee franchise and excise tax returns historically filed by all of Target's various entities and supporting tax return workpapers. That notwithstanding, based on Management's representations, the returns received, and the relatively modest income/loss positions of each of the entities, we do not anticipate a significant risk of exposure related to Target's Tennessee franchise / excise taxes. ■ As it relates to Target's limited Kentucky activity (approximately \$50,000 in annual sales), Management stated that the entity engaged in Kentucky sales has been SCF. Given that the applicable entities would have operated as sole proprietorships, we would not expect a historical liability for Kentucky purposes. After the 2018 Reorganization, a filing obligation by Family Legacy (i.e., reporting SCF's activities) may exist for the activities conducted in Kentucky. However, given the modest income generated by Family Legacy in 2018 and the minor amount of Kentucky sales, we do not expect the risk of exposure to be significant (less than \$2,000).
Tennessee Business Tax	■ Generally, businesses that sell goods or services are subject to the Tennessee Business Tax. The business tax is imposed on burial / funeral related services and on the sale of associated tangible personal property, including caskets, urns, markers, and vases. ■ Management represented that Target internally prepares business tax returns and that each entity prepares and files its own return. We received, sample business tax returns for various entities, including but not limited to CFS, Cole and Garrett, West Harpeth, and Hendersonville. Based on the sample returns received and Management's representations, we do not anticipate a significant risk of exposure related to the Tennessee Business Tax.

Supporting analysis US State & Local Tax

Issue	Summary observations
Sales Tax	■ Generally, the retail sale of tangible personal property and specified services are subject to sales and use tax, unless an exemption applies. Tennessee generally does not tax funeral services, such as embalming, hearse service or limousine service. However, the sale of related funeral items, including flowers, caskets, installed headstones, cremation urns, and burial vaults are subject to sales and use tax. ■ Target operates various funeral homes and cemeteries in Tennessee and generates revenue through funeral / cemetery services and the sale of merchandise, including caskets, urns, flowers and jewelry. With the exception of a limited amount of sales to Kentucky (approximately \$50,000 annually), Target's activities are exclusively limited to Tennessee. Management noted that each Target subsidiary files separate Tennessee sales and use tax returns. Moreover, Management stated that (i) Target collects sales tax on all products sold; (ii) Target does not collect sales tax on any services rendered; and (iii) Target was subject to a Tennessee sales and use tax audit in approximately 2012 that resulted in no assessment. We received a sampling of sales tax returns filed during the 2017 through 2019 period and would note that taxable sales reported on various sales tax returns were generally consistent with Management's descriptions of sales tax collection and historical trial balance information. Based on Management's representations and information provided, we do not anticipate a significant risk of exposure related to Target's Tennessee sales tax collection and remittance. ■ In relation to Target's Kentucky sales, Management noted that Target's Kentucky sales were to other cemetery/funeral homes and that sale for resale exemption documentation was contemporaneously collected at the time of the sale. Therefore, we would not expect sales tax exposure related to Target's Kentucky sales.
Use Tax	■ Generally, use tax is due on the storage, use, or consumption of tangible personal property and taxable services. Taxpayers are required to self-assess and remit use tax to the extent that the vendor did not charge sales tax on taxable purchases. ■ Management represented that Target pays sales tax on taxable purchases and issues exemption certificates on items that are sold for resale (e.g., caskets sold to clients). Based on Management's representations alone, we do not anticipate a significant risk of exposure related to use tax remittance.
Property Tax	■ Property tax is generally imposed by state or local jurisdictions on real property and business personal property. Real property tax is generally assessed by the local county, and the taxpayer is sent an annual bill with the amount owed rather than filing a return. Tennessee provides real property exemptions for property that is prepared to be used as a cemetery, provided the size of the property is not beyond the reasonable needs of the public and the exemption is applied for. For business personal property taxes, taxpayers are typically required to file annual renditions with the county assessor who issues an invoice based on the information provided. ■ Target operates several funeral homes and five cemeteries in Tennessee. Target has engaged Tax Advisor to assist in the preparation of all property tax filings. We received a real and personal property tax assessment summary prepared by Target for its various entities for 2017 through 2019. Based on the summary, Target paid real and business personal property tax totaling approximately \$150,000 in 2019. Based on Management's representations and the information received, we do not anticipate a significant risk of exposure related to real or business personal property taxes.

Supporting analysis US State & Local Tax

Issue	Summary observations
Property Tax <i>(Cont.)</i>	Notably, Target maintains a number of real property tax exemptions for its cemetery facilities (i.e., that have been prepared for burial purposes) and Management expects that additional cemetery real property is at or nearing eligibility for similar real property tax exemptions. These real property tax exemptions are not required to be renewed on a going forward basis.
Employment Tax	<i>Independent Contractors</i> - Under certain circumstances, the IRS and/or state tax authorities have reclassified certain independent contractors as employees if the company is determined to be the common law employer of the workers under a series of tests that consider factors, such as whether the company has the right to direct and control the activities of such workers or if such independent contractors provide the same or similar services as an employee. - Management represented that (i) Target retains the services of a minimal number of independent contractors; (ii) to the extent contractors are retained, such contractors do not typically provide services similar to their employees (e.g., IT consulting); (iii) contractors typically perform services for multiple parties; and (iv) Target has implemented a process to ensure independent contractors are classified in accordance with IRS guidelines. We received Forms 1099-MISC issued by Target that were generally consistent with Management's representations. Based on Management's representations and documents received, we do not anticipate significant risk of exposure related to worker classification. <i>Fringe Benefits</i> - Fringe benefits provided to employees are generally treated as taxable income to the employee and must be included in the recipient's reported wages (Form W-2) unless specifically excluded. Employers are subject to payroll withholding on employees' wages. - Target currently has three employees that reside in Target owned apartments in various locations. Management stated that employees that choose to live in the Target owned apartments have their pay reduced by \$8,000 per year and that nothing is reported for payroll tax purposes. Management estimated that each individual has lived in a Target owned apartment for up to two years. Assuming all three individuals have resided in Target owned apartments for the last two years, we would estimate an exposure of approximately \$20,000, inclusive of estimated penalties and interest. We would note that although employer-provided housing is a taxable fringe benefit, an exemption can apply if certain criteria are satisfied under the IRC. To the extent applicable, we recommend Target document any exempt status available for employer-provided housing. <i>Notices from the Kentucky Department of Revenue</i> - On November 14, 2019, it came to our attention that Target has received two notices from the Kentucky Department of Revenue, Division of Collections, one dated August 14, 2019 and the other dated August 15, 2019, both for a claim of unpaid individual income tax withholding liability in the amount of \$1,271.37 and \$1,256.44, respectively. Target has indicated that this relates to returns for the 2nd, 3rd and 4th quarter of 2018 that the state claims it has not received. - As of the date of this report, we understand that the Target is working with the Department of Revenue and their payroll service provider Paycom to resolve this issue.

Supporting analysis

US State & Local Tax

Issue	Summary observations
Unclaimed Property	■ Unclaimed property is generally considered abandoned following a statutorily adopted dormancy period. Property held by a business beyond the dormancy period is subject to escheat and must be turned over to the state. ■ Although Target has not historically filed unclaimed property reports, Management represented that (i) Target has a process for periodically reconciling its accounts to address aged accounts; (ii) all employees are paid via direct deposit; and (iii) Target does not currently have significantly aged accounts subject to escheatment. Based on Management's representations alone, we do not anticipate a significant risk of exposure related to unclaimed property.
Transfer Tax	■ Tennessee generally imposes real estate transfer tax on the conveyance of a real property interest reflected by the recording of a deed and certain leases. However, transfers of a controlling interest in an entity that holds real property (e.g., transfers of a 50% or greater interest) are generally not taxable in Tennessee. ■ Based on our current understanding of the Proposed Transaction (i.e., transfer of a controlling interest), we would not anticipate the Proposed Transaction to produce real estate transfer tax.



Appendices

1. Engagement letter procedures
2. Combining income statement
3. Adjusted income statement
4. Management adjustments –QofE
5. Pro forma adjustment
6. Documents read
7. Open items
8. Pre-transaction structure

Appendix 1

Engagement letter procedures (1)

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TRANSACTION SERVICES PROCEDURES

Unless otherwise noted, our work will concentrate on financial information for the last two fiscal years ended December 31, 2017 and 2018, and the latest available results for year-to-date 2019.

Phase 1 - Financial Due Diligence

1. Overview

Meet with Target's officers and Management in order to develop an understanding of Target, including its:

- a) History;
- b) Corporate entity organization and intercompany transactions;
- c) Products and services; and
- d) Internal control environment and financial reporting systems.

2. Consistency of accounting policies

Read Target's financial statements and discuss them with Management to gain an understanding of Target's accounting policies and practices, including:

- a) Understanding its accounting policies and procedures;
- b) Reporting methodology (including structure and process);
- c) Revenue recognition including Staff Accounting Bulletin (SAB) No. 101;
- d) Financial risk management policies (e.g. hedges and other derivative instruments);
- e) Trust assets investment income;
- f) Pre-need funeral and cemetery activities and perpetual care provision;
- g) Deferred revenue and costs; and
- h) Recent or contemplated changes in accounting principles, procedures, or estimates.

3. Preneed business

Gain an understanding of Target's preneed business, including:

- a) Products and services sold on a preneed basis;
- b) Preneed sales contract terms and related cash flow impacts including payment and interest terms, pricing of components, customer cancellation and refund rights, and exposure to inflation;
- c) Funding model (e.g. trust vs. insurance);
- d) Credit risk with insurance relationships;
- e) Sales force compensation/commission structure;
- f) Regulatory environment and requirements, including trust requirements;
- g) Trust investment income retention rights;
- h) Quality of regulatory compliance;
- i) Quality of administration, monitoring, and controls; and
- j) Understand extent and quality of backlog (read various contracts at various points in time and compare for consistency).

4. Sustainability of Earnings

Propose potential adjustments to historical earnings before interest, taxes, depreciation, and amortization ("EBITDA") by considering:

- a) Large, unusual or non-recurring events or transactions that may have distorted results;
- b) Normalization adjustments identified by Management such as corporate overhead, legal expenses, reversal of collectability reserves, write-down of old sale contract and accrual of deferred compensation;
- c) The impact of recent acquisitions (if any such as Princeton NJ and Lafayette) to revenue and EBITDA growth (organic vs. acquisition growth);
- d) The impact of adjustments to restate EBITDA from US GAAP to IFRS as identified by Management;
- e) The impact of provisions, Management estimates, or adjusting entries on the reported results; and
- f) Other potential items discovered in the due diligence process.

5. Cash flow

Reconciliation of reported EBITDA to Adjusted EBITDA, cash EBITDA and cash flow, including an understanding of potential accounting and cash-flow timing differences, such as:

- a) Revenue recognition;
- b) Trust funding
- c) Pre-need sales
- d) Cemetery interment/mausoleum
- e) The impact of the change towards operating leases from capital asset purchases, if any; and
- f) Others.

6. Revenues and profitability

Obtain and read an analysis of Target's revenues:

- a) Analyze monthly revenue and profitability and comment on seasonality and implications on profitability and working capital requirements;
- b) Inquire about construction revenue and associate level of customer deposits and consider revenue recognition treatment; and
- c) Comment on the key components and revenue mix (i.e. at-need vs. pre-need; funeral vs. cemetery; burial vs. cremation; etc.).

7. Cost of sales

Obtain and read an analysis of Target's cost of sales and inquire about:

- a) Target's most significant suppliers, contract terms, supplier alternatives, and changes to payment terms, if any; and
- b) Significant vendor allowances and related programs.

8. Operating expenses

Obtain and read an analysis of Target's operating expenses and inquire about:

- a) Cost behavior (variable vs. fixed);
- b) Level and trends in headcount and related personnel costs by department/functions;
- c) Components and trends in selling, general and administrative costs;
- d) Costs that are not at market rates; and
- e) Unusual and extraordinary items, if any.

9. Working Capital

Obtain details of monthly working capital by main working capital items (trade accounts receivable, inventory, prepaid expenses, and other current assets, accounts payable and accrued expenses) and comment on:

- a) Monthly working capital trends for the past 24 months;
- b) Large or unusual items that may have impacted normal working capital trends;
- c) Impact of recent acquisitions to working capital requirements; and
- d) Working capital seasonality, if any.

10. Inventory

Obtain and read an analysis of Target's inventory and inquire about:

- a) Key components;
- b) Significant trends (monthly and annually), including aging profile, turnover and minimum requirements; and
- c) Historical write-offs and period-end level and movements in the provision for inventory obsolescence.

Appendix 1

Engagement letter procedures (2)

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11. Accounts receivable

Obtain and read an analysis of the Target's accounts receivable and inquire and comment on:

- a) Aging analysis;
- b) Trade, vendor rebates and non-trade balances;
- c) Third party financing arrangements;
- d) Allowance for uncollectible accounts and write-offs; and
- e) Credit terms (including special terms).

12. Property, Plant and Equipment

Obtain and read an analysis of Target's fixed assets, capital expenditures, and inquire about:

- a) Key components (land, buildings, etc.);
- b) Surplus or obsolete equipment or impairment issues, if any;
- c) Cemetery maturity and supply constraints, if any;
- d) Asset retirement obligations;
- e) Obtain and analyze Target's return on investment analysis (by line);
- f) Historical and forecast capital expenditures divided between growth and maintenance;
- g) Repairs and maintenance; and
- h) Capitalization policy.

13. Trust Funds

Analyze trust funds and underlying investments and comment on:

- a) Number of trust arrangements and service providers (trustees, administrators, investment managers, and custodians) and control monitoring at service provider;
- b) Trust requirements and practices related to trust deposits and withdrawal (principal and earnings);
- c) Investment mix and regulatory requirements related to investments;
- d) Investment income trends;
- e) Basis of accounting for trusts and trust-level transactions; and
- f) Reconciliation procedures pertaining to trust assets vs. customer contract-level information.

14. Other Assets

- a) Prepare a summary of other assets (including prepaid expense) and comment on unusual items, significant fluctuations and significant balances.

15. Accounts Payable

Obtain and read an analysis of Target's accounts payable and accrued liabilities and inquire about:

- a) Key components (for example, trade vs. non-trade) and significant suppliers;
- b) Significant trends (monthly and annually), including supplier concentration, aging profile and turnover;
- c) Contractual/standard payment terms relative to actual experience, particularly with respect to recent extensions of payment terms; and
- d) Nature, purpose and historical/current adequacy of accruals.

Analyze pre-arranged funeral service and perpetual care provisions, and comment on:

- e) Nature of obligation relative to contractual and regulatory requirements;
- f) Composition of pre-arrangements by date of inception; and
- g) Actuarial reports underlying actuarial/insurance liabilities.

16. Commitments and Contingencies

Inquire about significant commitments and contingent liabilities including:

- a) Pending or threatened litigation or investigations by regulatory or other authorities;
- b) Self-insurance, if applicable;
- c) Incentive compensation; and
- d) Other off-balance sheet transactions.

17. Auditor working papers

Obtain and read available working paper files and Management letters for the latest fiscal year and:

- a) Discuss any significant engagement issues;
- b) Inquire of the engagement partner about the existence of any disagreements with Management;
- c) Comment on the nature and volume of audit differences (adjustments), use of accounting estimates, any changes in accounting policies or methods and their implications; and
- d) Read Management reports prepared by the external auditors and comment on control issues.

Appendix 1

Engagement letter procedures (3)

US Tax Due Diligence

We will perform US tax due diligence on Family Legacy, LLC, Cemetery & Funeral Solutions LLC, Cole and Garrett, LLC, Gallatin Memory Gardens, LLC, Sumner MG, LLC, Hendersonville Memory Gardens & Funeral Home, LLC, Simple Cremation & Funeral, LLC, West Harpeth Funeral Home, L.L.C., and Joelton Hills Memory Gardens, Inc. (collectively, "Target"). The scope and fee estimate for our US tax due diligence services is based on our understanding that Family Legacy, LLC is treated as an S corporation for US federal income tax purposes; Joelton Hills Memory Gardens, Inc., is treated as a Qualified Subchapter S Subsidiary for US federal income tax purposes; and Cemetery & Funeral Solutions LLC, Cole and Garrett, LLC, Gallatin Memory Gardens, LLC, Sumner MG, LLC, Hendersonville Memory Gardens & Funeral Home, LLC, Simple Cremation & Funeral, LLC, and West Harpeth Funeral Home, L.L.C., are disregarded entities for US federal income tax purposes.

Below are the common tax due diligence procedures we perform in transactions of this nature. The precise procedures we perform will be tailored based on our discussions with you. In connection with our procedures, we will not review the compensation and benefits plans of Target (including, for example, any profits interests issued by Target, compliance of any deferred compensation plans and employment contracts with section 409A, review of employment contracts for change in control provisions governed by section 280G, or compliance of any other employee benefit plans with other relevant sections of the Internal Revenue Code. We will also not address whether transactions with related persons were priced in accordance with section 482 in our procedures unless specifically requested by you. Additionally, we will not review the compliance prepared in connection with any of the trusts and tax-exempt entities in which Target has an interest. To the extent you wish for us to review these items, the time and fees for this work is in addition to our fee estimate and will be billed at the agreed upon rates. Our fee estimate also assumes that Target has not succeeded to the liabilities of any tax-exempt entities under US federal income tax laws.

Our deliverable will be in the format of a key findings report. Unless otherwise noted, our work will concentrate on the last three taxable years and the most recent available year-to-date financial and tax information.

1. Interview management and outside advisors to obtain background information and inquire about Target's:
 - a. History and legal structure;
 - b. Tax planning profile/strategies implemented and benefits obtained;
 - c. Significant transactions (including acquisitions, dispositions, joint ventures, and intercompany transactions) and the tax treatment thereof;
 - d. Changes in ownership and potential existing limitations on the use of net operation losses, tax credits, or similar tax attributes (this will not constitute a section 382 or net operating loss limitation study or computation);
 - e. Tax accounting methods utilized;
 - f. Payments made to recipients in foreign countries (e.g., interest, royalties);
 - g. "Listed Transactions" within the meaning of Treasury Regulations section 301.6111-2(b)(2);
 - h. "Reportable Transactions" within the meaning of Treasury Regulations section 1.6011-4(b);
 - i. Related party transactions;
 - j. Financial interests in or signature authority over foreign financial accounts (FBAR reporting); and
 - k. Tax compliance and tax examination status.
2. Obtain and read the tax provision and return work papers (including reserves for uncertain tax positions), as applicable.
3. Obtain and read US federal, state, and local income tax returns, including:
 - a. Income/franchise tax returns filed for all open tax years;
 - b. Prior year estimated taxable income calculations, and calculations used for extension purposes;
 - c. Current and prior year estimated tax payments;
 - d. Schedule of tax attributes, including tax losses, tax credits, tax holidays and incentives, and limitations or restrictions imposed on their utilization, if applicable;
 - e. Listed transactions or tax shelters in which Target participated;
 - f. Prior year tax elections; and
 - g. State tax allocation and apportionment workpapers and nexus studies.
4. Read Target's auditors' work papers and management letter related to tax matters for the most recently completed audit available.
5. Obtain and read correspondence from US federal, state, and non-foreign taxing authorities, including completed and pending tax examinations, and inquire regarding current status for the prior five taxable years.
6. Inquire about tax rulings, changes in accounting methods or closing agreements entered into during the past five years or pending ruling requests.
7. Inquire about the use of independent contractors and procedures for classifying workers as independent contractors. Read information available and make inquiries about Target's Form 1099 filings.
8. Inquire about tax opinion letters, correspondence, and memoranda or studies prepared by Target, its outside tax advisor, or its tax counsel regarding tax planning or significant tax exposure items within the last five years.
9. Inquire about tax sharing agreements or other tax arrangements.
10. Obtain and read a schedule of intercompany debt by entity, including accrued or payable withholding taxes.
11. Inquire about corporate (or asset) mergers, acquisitions, divestitures, bankruptcies, and restructurings occurring within the last five years, including dates and types of transactions and tax basis implications of such transactions.
12. Inquire about the non-income tax compliance and examination status, including:
 - a. Sales and use tax and/or GST/VAT, returns filed and compliance procedures;
 - b. Payroll tax returns filed and compliance procedures;
 - c. Withholding tax compliance for payments remitted to non-US persons;
 - d. Real and personal property tax filings and compliance procedures; and
 - e. Unclaimed property or escheat compliance, where applicable.
13. Obtain and read the earnings stripping calculations (section 163(j)), if applicable.
14. Inquire about US federal elections, including check-the-box elections, filed.
15. Obtain, read, and inquire about the following related to Target's S corporation status:
 - a. Target's federal election (Form 2553) and similar state election to be treated as an S corporation and inquire whether Target properly completed and filed the election;
 - b. Target's federal Qualified Subchapter S Subsidiary election(s) (Form 8869) and, if applicable, similar state election(s) to treat Target's subsidiaries as Qualified Subchapter S Subsidiaries;
 - c. Target's (and its subsidiaries') S corporation (and Qualified Subchapter S Subsidiary) acceptance letter(s) received from the IRS and, if applicable, similar correspondence from state taxing authorities;
 - d. Target's S corporation eligibility requirements and compliance with S corporation operational requirements to ascertain whether Target properly maintained S corporation status;
 - e. Target's exposure to built-in gain tax and the passive investment income tax;
 - f. Target's potential termination or revocation of the S corporation election; and
 - g. If Target (or of its subsidiaries, if applicable) has prior history as a C corporation or tax attributes (e.g., net operating loss carry forwards, business credits, etc.).
16. If applicable, obtain and read the limited liability company or operating agreement.

Appendix 2

Combining income statement

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Below is the consolidating income statement for the years-ended December 31, 2017 and December 31, 2018 and the trailing twelve month period ended September 30, 2019.

Summary combining income statement																		
\$'000s	FY17						FY18						TTM Sep-19					
	MCM	CFS	Funeral homes	Memorial gardens	Economy	FY17	MCM	CFS	Funeral homes	Memorial gardens	Economy	FY18	MCM	CFS	Funeral homes	Memorial gardens	Economy	TTM Sep-19
At-need sales	-	-	5,463	-	752	6,215	-	-	6,116	-	787	6,902	720	-	6,389	16	1,278	8,402
Pre-need sales	-	-	870	-	12	882	-	-	828	-	7	835	-	-	558	-	16	574
Cemetery sales	-	-	-	3,756	-	3,756	-	-	-	2,905	-	2,905	-	-	(6)	3,079	-	3,073
Other income - cemetery	-	-	-	439	-	439	-	-	-	438	-	438	-	-	-	433	-	433
Sales - CFS	-	1,968	-	-	-	1,968	-	2,297	-	-	-	2,297	-	2,211	-	-	-	2,211
Sales	-	1,968	6,333	4,195	764	13,260	-	2,297	6,944	3,343	794	13,377	720	2,211	6,941	3,528	1,293	14,694
At-need cost of sales	-	-	(1,245)	-	(80)	(1,325)	-	-	(1,491)	-	(125)	(1,616)	(342)	-	(1,302)	(6)	(242)	(1,891)
Pre-need sales expense	-	-	(858)	-	(38)	(896)	-	-	(606)	-	(10)	(616)	(4)	-	(498)	(25)	(20)	(547)
Cemetery cost of sales	-	-	-	(1,051)	-	(1,051)	-	-	-	(1,017)	-	(1,017)	-	-	(30)	(1,027)	-	(1,057)
Cost of sales - CFS	-	(931)	-	-	-	(931)	-	(1,046)	-	-	-	(1,046)	-	(1,010)	-	-	-	(1,010)
Cost of sales	-	(931)	(2,103)	(1,051)	(118)	(4,203)	-	(1,046)	(2,097)	(1,017)	(135)	(4,294)	(346)	(1,010)	(1,830)	(1,058)	(261)	(4,505)
Gross profit	-	1,037	4,230	3,145	646	9,058	-	1,251	4,847	2,326	659	9,083	374	1,202	5,111	2,470	1,032	10,189
Payroll	-	(329)	(1,722)	-	(335)	(2,386)	-	(597)	(2,018)	-	(298)	(2,913)	(25)	(694)	(1,863)	(31)	(427)	(3,039)
Sales expenses	-	-	-	(848)	-	(848)	-	-	-	(651)	-	(651)	-	-	(0)	(655)	(2)	(657)
Marketing & public relations	-	-	(199)	(115)	(15)	(330)	-	-	(131)	(93)	(28)	(252)	(0)	-	(134)	(95)	(56)	(286)
Operating expenses	-	-	(518)	(500)	(49)	(1,067)	-	-	(372)	(611)	(31)	(1,015)	(59)	-	(339)	(613)	(35)	(1,047)
General & administrative	-	(167)	(923)	(372)	(134)	(1,596)	-	(191)	(996)	(335)	(161)	(1,683)	(80)	(205)	(814)	(237)	(219)	(1,556)
Reception centers	-	-	(28)	-	-	(28)	-	-	(15)	-	-	(15)	-	-	(35)	-	-	(35)
Selling, general and administration	-	(496)	(3,391)	(1,835)	(533)	(6,255)	-	(788)	(3,532)	(1,690)	(519)	(6,529)	(165)	(899)	(3,186)	(1,631)	(739)	(6,620)
Other income & expense	-	(14)	(1,188)	(361)	(128)	(1,690)	-	(688)	(1,003)	224	(100)	(1,567)	(164)	(971)	(1,641)	(620)	(322)	(3,718)
Net income	-	527	(348)	949	(14)	1,113	-	(225)	312	860	40	987	45	(668)	284	219	(29)	(149)
EBITDA calculation																		
Interest	-	29	290	29	22	370	-	28	226	19	18	291	47	24	231	20	47	369
Taxes	-	-	2	3	-	5	-	-	2	2	-	3	-	-	-	-	-	-
Depreciation & amortization	-	-	314	27	41	382	-	160	322	37	44	564	-	154	270	25	48	497
EBITDA	-	556	258	1,007	49	1,870	-	(37)	862	918	102	1,845	93	(490)	785	264	66	718

Source: Management provided information

- An explanation of the operations of each entity included in the transaction is below:
 - **Music City Mortuary (MCM):** This mortuary was acquired in Apr-17.
 - **Cemetery Funeral Solutions (CFS):** This entity is a funeral and cemetery merchandising business that services internal and external customers.
 - **Funeral homes:** This represents seven full service funeral homes in Middle Tennessee.
 - **Memorial gardens:** This represents five cemeteries and memorial gardens in Middle Tennessee.
 - **Economy:** This represents three economy funeral homes in Middle Tennessee. Nashville Cremation Center and Tristar Cremation were acquired in Apr-17

Appendix 3

Adjusted income statement

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Below is the pro forma adjusted combined income statement for the years-ended December 31, 2017 and December 31, 2018 and the trailing twelve month period ended September 30, 2019.

Adjusted IS											
	Reported			Management adjusted			Potentially Adjusted			Pro forma Adjusted	% Revenue
	FY17	FY18	TTM Sep-19	FY17	FY18	TTM Sep-19	FY17	FY18	TTM Sep-19	TTM Sep-19	TTM Sep-19
\$'000s											
At-need sales	6,215	6,902	8,402	6,215	6,902	8,402	6,215	6,902	8,402	9,774	70.1%
Pre-need sales	882	835	574	882	835	574	882	835	574	583	4.2%
Cemetery sales	3,756	2,905	3,073	3,756	2,905	3,073	3,256	2,163	2,435	2,435	17.5%
Other income - cemetery	439	438	433	439	438	433	439	438	433	433	3.1%
Sales - CFS	1,968	2,297	2,211	1,968	2,297	2,211	794	882	721	721	5.2%
Sales	13,260	13,377	14,694	13,260	13,377	14,694	11,587	11,221	12,565	13,947	100.0%
At-need cost of sales	(1,325)	(1,616)	(1,891)	(1,325)	(1,616)	(1,891)	(1,325)	(1,616)	(1,891)	(2,446)	(17.5%)
Pre-need sales expense	(896)	(616)	(547)	(896)	(616)	(547)	(896)	(616)	(547)	(556)	(4.0%)
Cemetery cost of sales	(1,051)	(1,017)	(1,057)	(1,051)	(1,017)	(1,057)	266	641	645	645	4.6%
Cost of sales - CFS	(931)	(1,046)	(1,010)	(931)	(1,046)	(1,010)	(931)	(1,046)	(1,010)	(1,010)	(7.2%)
Cost of sales	(4,203)	(4,294)	(4,505)	(4,203)	(4,294)	(4,505)	(2,886)	(2,636)	(2,802)	(3,366)	(24.1%)
Gross profit	9,058	9,083	10,189	9,058	9,083	10,189	8,701	8,585	9,763	10,581	75.9%
Gross profit %	68.3%	67.9%	69.3%	68.3%	67.9%	69.3%	75.1%	76.5%	77.7%	75.9%	
Payroll	(2,386)	(2,913)	(3,039)	(2,386)	(2,913)	(3,039)	(2,259)	(2,801)	(2,991)	(3,137)	(22.5%)
Sales expenses	(848)	(651)	(657)	(848)	(651)	(657)	(848)	(651)	(657)	(656)	(4.7%)
Marketing & public relations	(330)	(252)	(286)	(330)	(252)	(286)	(330)	(252)	(286)	(303)	(2.2%)
Operating expenses	(1,067)	(1,015)	(1,047)	(1,067)	(1,015)	(1,047)	(1,067)	(1,015)	(1,047)	(1,128)	(8.1%)
General & administrative	(1,596)	(1,683)	(1,556)	(1,596)	(1,683)	(1,556)	(1,580)	(1,654)	(1,535)	(1,636)	(11.7%)
Reception centers	(28)	(15)	(35)	(28)	(15)	(35)	(28)	(15)	(35)	(35)	(0.3%)
Selling, general and administration	(6,255)	(6,529)	(6,620)	(6,255)	(6,529)	(6,620)	(6,112)	(6,387)	(6,551)	(6,895)	(49.4%)
Selling, general and administration %	(47.2%)	(48.8%)	(45.1%)	(47.2%)	(48.8%)	(45.1%)	(52.7%)	(56.9%)	(52.1%)	(49.4%)	
Other income & expense	(933)	(709)	(2,852)	(32)	(18)	(2)	(1,136)	(1,026)	(1,013)	(1,302)	(9.3%)
EBITDA	1,870	1,845	718	2,771	2,536	3,568	1,452	1,172	2,199	2,384	17.1%
EBITDA %	14.1%	13.8%	4.9%	20.9%	19.0%	24.3%	12.5%	10.4%	17.5%	17.1%	

Source: Management provided information; KPMG analysis

Appendix 4

Management adjustments

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Other Income and Expense			
		TTM	
\$'000	FY17	FY18	Sep-19
Corp P/R Support (8290)	(705)	(854)	(1,842)
Corp Off Supp - Admin (8291)	(118)	(91)	(393)
Gain <Loss> on Fixed Asset Disposition	39	8	(189)
De-minimus Expense	(10)	(15)	(132)
Prior Year Inventory Adjustment	-	(115)	(115)
Rent Expense (8090)	(20)	(60)	(60)
R/C to 8291	-	-	(60)
Prior Year Reconciliations (8293)	-	-	(26)
Miscellaneous Expense (8350)	-	(22)	(22)
Corp Off Supp - Sales (8292)	(44)	(44)	(11)
Interest - Chrysler Financial (8415)	-	-	(2)
Expenses - Asphalt Sealing - HH (8295)	-	(0)	(0)
Income - Investments (6040)	-	500	-
Royalty Expenses (7055)	(3)	-	-
R/C to 8292	-	-	-
R/C to 8290	-	-	-
Guaranteed Payments	(24)	-	-
Gain <Loss> on Sale of Assets (8288)	-	2	2
De minimis Expense	(15)	-	-
Other Income and Expense	(901)	(691)	(2,850)
Management adjustments	901	691	2,850

Source: Management provided information; KPMG analysis

Management adjustments

- The adjacent adjustments to EBITDA have been identified by Management:
 - **Corp P/R Support (8290):** Management notes these costs represent corporate payroll, and is allocated based on which entity each individual's efforts are spent.
 - **Corp Off Supp - Admin (8291):** Management notes these costs represent corporate overhead costs, and is allocated based on revenue.
 - **Gain <Loss> on Fixed Asset Disposition:** This adjustment represents non-recurring gain and loss earned on fixed assets.
 - **De-minimus Expense:** Management expenses items that would normally be capitalized and are expensed to reduce the Company's tax liability. As a result, these expenses are reversed from EBITDA.
 - **Prior Year Inventory Adjustment:** In Dec-18 the Company performed a physical inventory account for the first time in two fiscal years, this resulted in an adjustment to the inventory balance. Management does not expect this adjustment to be recurring as the counts will be completed on an annual basis.
 - **Rent Expense (8090):** The Company's related party entity charges rent for the Alexander Funeral Home location, Management represents this will be non-recurring going forward.
 - **R/C to 8291:** Management's accounting software does not allow for changes in balances and as a result creates a reclass account (see account 8291).
 - **Prior Year Reconciliations (8293):** This reflects a one time reconciliation error between the subledger and the general ledger, as a result Management reversed the impact to EBITDA.
 - **Miscellaneous Expense (8350):** This reflects a one time reconciliation error occurring in 2017 when the Company converted from multiple databases into a single database within Business works, as a result Management reversed the impact to EBITDA.

Appendix 5

Pro forma adjustment

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Acquired locations (using T3M Sept-19)	
\$'000s	TTM Sept-19
Sales	
MCM	1,218
NCC	296
Tristar	306
Existing sales	(440)
QofE sales adjustment	1,382
EBITDA	
MCM	242
NCC	(18)
Tristar	20
Existing EBITDA	(64)
QofE EBITDA adjustment	185

Source: Management provided information; KPMG analysis

Pro forma adjustments

- The following adjustments to sales have been identified as a part of the diligence process:
 - The Company acquired Music City Mortuary, Nashville Cremation Center and Tristar Cremation in Apr-19. This adjustment;
 - (i) Annualizes the average sales and EBITDA from the trailing three months (Jul-19 to Sept-19) as it reflects the run-rate operating performance
 - (ii) The run rate performance was then recognized in the TTM Sept-19 historical results.
- The following adjustments represent run-rate considerations, primarily reflecting the Company's acquisitions:
 - **Acquired locations:** EBITDA impact, in addition to the details above.
 - (iii) In addition to the above sales impact, corporate overhead allocations were reversed in Sept-19 and appropriately allocated across the operating period from acquisition date (Apr-19).

Appendix 6

Documents read (1)

Below is a list of key documents, among others, that we have read in connection with our tax due diligence procedure.

Financials

- Family Legacy LLC - Balance Sheet - 2018-12-31
- Monthly PL by Location - Consolidated by Type
- FS – BS TB All Months – PLC Reconciliation

US Federal Tax Returns & Other Tax Forms

- Family Legacy LLC
 - 2016-2018 Federal Income Tax Returns
 - Form 2253 Election by a Small Business Corporation (01/01/2018)
 - Form 8869 Qualified Subchapter S Subsidiary Election (01/01/2018)
 - IRS Acceptance to Form 8869 (10/14/2019)
 - IRS Acceptance to Form 2555 (08/20/2019)
 - Forms 1099 (2016, 2017, 2018)
- Joelton Hills Memory Gardens, Inc.
 - 2016-2018 Federal Income Tax Returns
 - Form 2553 Election by a Small Business Corporation (07/16/2001)
 - Form 8869 Qualified Subchapter S Subsidiary Election (01/01/2018)
 - IRS Acceptance to Form 8869 (10/14/2019)

State (Tennessee) Tax Returns

- Cole and Garret LLC
 - 2016-2017 State Franchise and Excise Tax Returns
- Family Legacy LLC
 - 2016-2018 State Franchise and Excise Tax Returns
- Franklin Funeral Home, LLC
 - 2016-2017 State Franchise and Excise Tax Returns
- Gallatin Memory Gardens, LLC
 - 2016-2017 State Franchise and Excise Tax Returns
- Hendersonville Memory Gardens & Funeral Home, LLC
 - 2016-2017 State Franchise and Excise Tax Returns
- Joelton Hills Memory Gardens, Inc.
 - 2016-2018 State Franchise and Excise Tax Returns

State (Tennessee) Tax Returns (Cont.)

- Simple Cremation & Funeral, LLC
 - 2016-2018 State Franchise and Excise Tax Returns
- Sumner MG, LLC
 - 2016-2017 State Franchise and Excise Tax Returns
- West Harpeth Funeral Home, L.L.C.
 - 2016-2017 State Franchise and Excise Tax Returns

Corporate

- Cole and Garrett, LLC - Annual Report
- Cole and Garrett, LLC - Articles and Operating Agreement
- Cole and Garrett, LLC - Articles of Organization
- Family Legacy - Organizational Chart
- Family Legacy, LLC - Annual Report
- Family Legacy, LLC - Articles of Organization
- Family Legacy, LLC - Operating Agreement
- Gallatin Memory Gardens, LLC - Annual Report
- Gallatin Memory Gardens, LLC - Articles of Organization
- Gallatin Memory Gardens, LLC - Operating Agreement
- Hendersonville Articles and Oper Agreement
- Hendersonville Memory Gardens And Funeral Home, LLC - Articles of Organization
- Joelton Charter
- Joelton Hills Memory Gardens, Inc – Charter
- Joelton Hills Memory Gardens, Inc. - Annual Report
- Joelton Hills Memory Gardens, Inc. - By-laws
- Sumner MG, LLC - Annual Report
- Sumner MG, LLC - Articles and Operating Agreement
- West Harpeth Funeral Home, L.L.C. - Articles of Organization
- West Harpeth Funeral Home, L.L.C. - Amendment to Operating Agreement
- West Harpeth Funeral Home, L.L.C. - Annual Report
- West Harpeth Funeral Home, L.L.C. - Operating Agreement

Appendix 6

Documents read (2)

Reorganization Documents

- Closing Binder for Gregory Buyout
- Crowe Trust - Full Release of Lien (07-24-15)
- Crowe Trust - Limited Release (07-2015) (Not Executed)
- Family Legacy, LLC - Reorganization 1.1.18 - Cole and Garrett, LLC
- Family Legacy, LLC - Reorganization 1.1.18 - Family Legacy, LLC
- Family Legacy, LLC - Reorganization 1.1.18 - Franklin Funeral Home, LLC
- Family Legacy, LLC - Reorganization 1.1.18 - Gallatin Memory Gardens, LLC
- Family Legacy, LLC - Reorganization 1.1.18 - Hendersonville Memory Gardens, LLC
- Family Legacy, LLC - Reorganization 1.1.18 - Joelton Hills Memory Gardens
- Family Legacy, LLC - Reorganization 1.1.18 - Sumner MG, LLC
- Family Legacy, LLC - Reorganization 1.1.18 - West Harpeth Funeral Home, LLC
- Family Legacy, LLC - Reorganization 1.1.18 - CFS
- Joelton Hills Transfer shares to William Gregory
- Alexander Funeral Home-2018
 - 584 Nashville Pike Closing Documents - Final Executed 7.19.18
 - Franklin Funeral home 1031 docs
- Music City Mortuary-2019
 - Asset Sale Agreement - Signed
- Simple Cremation Funeral-2015
 - Nashville Funeral and Cremation - Closing documents 01 05 15

Other Documents

- Family Legacy Legal Entities
- Employee Census
- Sales Tax Licenses
- Family Legacy Vehicle Listing
- Real and Personal Property Tax Assessments
- Sample Business Tax Returns for 2018 (Cole and Garrett, LLC; Cemetery & Funeral Solutions LLC; Gallatin Memory Gardens, LLC; Hendersonville Memory Gardens & Funeral Home, LLC; and West Harpeth Home, L.L.C.)
- Sample Sales and Use Tax Returns 2017-2019
- On-site Living Expenses (Management Response to Item 5.02)

Appendix 7

Open items

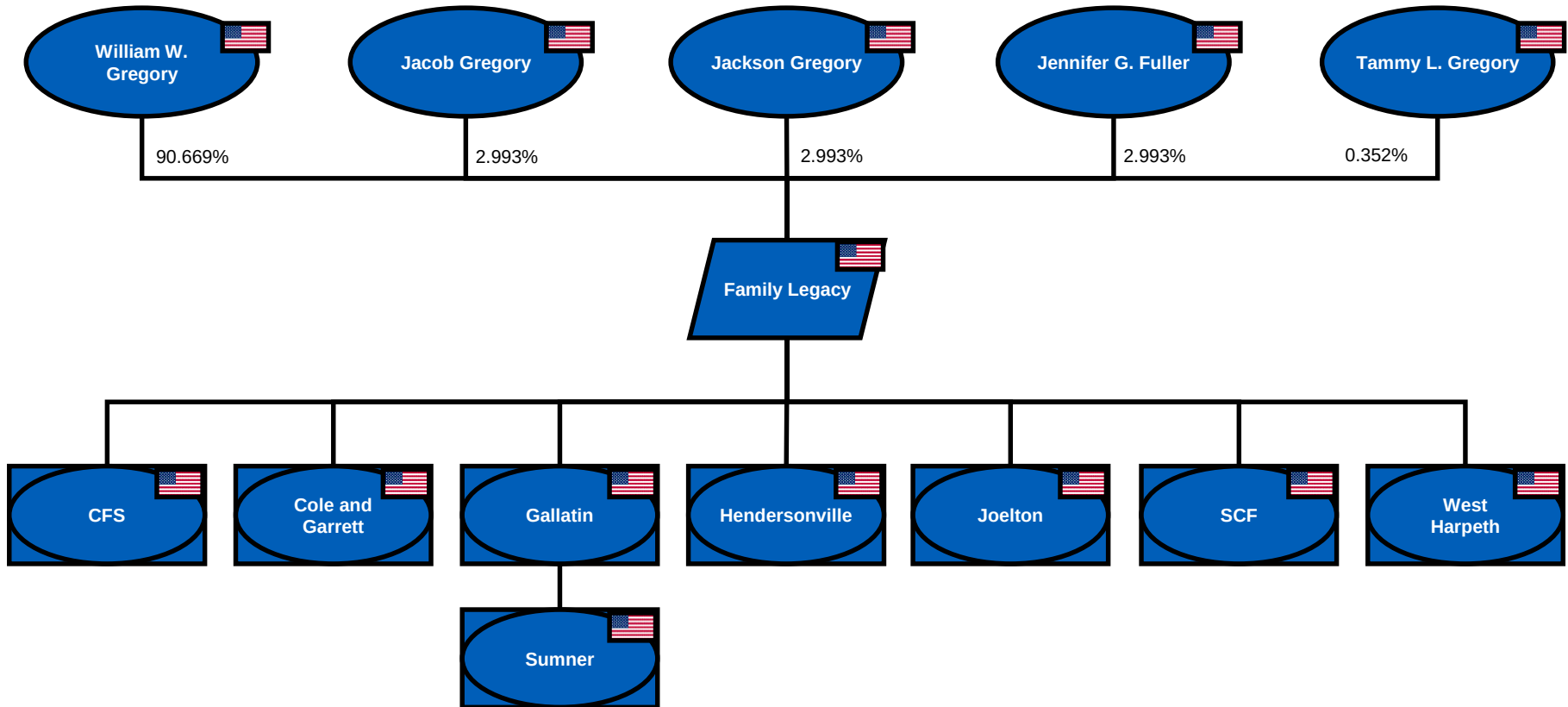
Below is a list of key items, among others, that have been requested, but remain outstanding as of the date of this report.

Federal Tax

- 1) Please provide the following letters from the IRS:
 - a) Acceptance of Joelton Hills Memory Gardens, Inc.'s Form 2553 to be treated as an S corporation effective 07/17/2001.
 - b) Signed version of Joelton Hills Memory Gardens, Inc.'s Form 2553 to be treated as an S corporation effective 07/17/2001
- 2) Please provide, if any, documentation in support of the Crowe Marital Trust and Crowe Residual Trust being valid S corporation shareholders prior to William Gregory's purchase of the shares in 2013, including (1) any elections filed by the Trusts and (2) copies of the trust documents including any amendments for any relevant years.
- 3) With regards to Joelton Hills Memory Gardens, Inc., please provide a copy of any shareholders agreement, including the original agreement and any amendments and restatements.

Appendix 8

Pre-transaction structure



All entities are 100% owned unless otherwise indicated.



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